



Insurance Companies Act 1982

1982 CHAPTER 50

An Act to consolidate the Insurance Companies Acts
1974 and 1981. [28th October 1982]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

RESTRICTION ON CARRYING ON INSURANCE BUSINESS

Preliminary

1.—(1) For the purposes of this Act insurance business is Classification, divided into long term business and general business ; and—

“long term business” means insurance business of any of the classes specified in Schedule 1 to this Act, and

“general business” means insurance business of any of the classes specified in Part I of Schedule 2 to this Act.

(2) For the purposes of this Act the effecting and carrying out of a contract whose principal object is within one class of insurance business, but which contains related and subsidiary provisions within another class or classes, shall be taken to constitute the carrying on of insurance business of the first-mentioned class, and no other, if subsection (3) or (4) below applies to the contract.

PART I

(3) This subsection applies to a contract whose principal object is within any class of long term business but which contains subsidiary provisions within general business class 1 or 2 if the insurer is authorised under section 3 or 4 below to carry on long term business class I.

(4) This subsection applies to a contract whose principal object is within one of the classes of general business but which contains subsidiary provisions within another of those classes, not being class 14 or 15.

Restriction
on carrying
on insurance
business.

2.—(1) Subject to the following provisions of this section, no person shall carry on any insurance business in the United Kingdom unless authorised to do so under section 3 or 4 below.

(2) Subsection (1) above shall not apply to insurance business (other than industrial assurance business) carried on—

(a) by a member of Lloyd's ; or

(b) by a body registered under the enactments relating to friendly societies ; or

(c) by a trade union or employers' association where the insurance business carried on by the union or association is limited to the provision for its members of provident benefits or strike benefits.

In this subsection "trade union" and "employers' association" have (throughout the United Kingdom) the meanings assigned to them by section 28 of the Trade Union and Labour Relations Act 1974.

1974 c. 52.

(3) Subsection (1) above shall not apply to industrial assurance business carried on by a friendly society registered under the enactments relating to such societies.

(4) Subsection (1) above shall not apply to general business of class 14, 15, 16 or 17 if it is carried on solely in the course of carrying on, and for the purposes of, banking business.

(5) Subsection (1) above shall not apply to general business consisting in the effecting and carrying out, by an insurance company that carries on no other insurance business, of contracts of such descriptions as may be prescribed, being contracts under which the benefits provided by the insurer are exclusively or primarily benefits in kind.

Authorised insurance companies

Authorisation
by Secretary
of State.

3.—(1) The Secretary of State may authorise a body to carry on in the United Kingdom such of the classes of insurance business specified in Schedule 1 or 2 to this Act, or such parts of those classes, as may be specified in the authorisation.

PART I

(2) An authorisation under this section may be restricted to industrial assurance business or to reinsurance business; and a body may not carry on industrial assurance business by virtue of an authorisation under this section unless the authorisation expressly extends to such business.

(3) An authorisation under this section may identify classes or parts of classes of general business by referring to the appropriate groups specified in Part II of Schedule 2 to this Act.

(4) On the issue to a body of an authorisation under this section, any previous authorisation of that body under this section or section 4 below shall lapse.

4.—(1) A body that was, immediately before the commencement of this Act, authorised under section 3 or 4 of the Insurance Companies Act 1981 to carry on in the United Kingdom insurance business of a class specified in Schedule 1 or 2 to that Act (or a part of such a class) is authorised to carry on there insurance business of the class identified by the same number in Schedule 1 or 2 to this Act (or that part of such a class). Existing insurance companies. 1981 c. 31.

(2) A body may not carry on industrial assurance business by virtue of this section unless—

- (a) it was carrying on such business immediately before 1st January 1982, or
- (b) it was immediately before the commencement of this Act authorised to carry on such business under section 3 of the Insurance Companies Act 1981.

Applications for authorisation

5.—(1) The Secretary of State shall not issue an authorisation under section 3 above unless— Submission of proposals etc.

- (a) the applicant has submitted to him such proposals as to the manner in which it proposes to carry on business, such financial forecasts and such other information as may be required by or in accordance with regulations under this Act, and
- (b) he is satisfied on the basis of that and any other information received by him that the application ought to be granted.

(2) The Secretary of State shall decide an application for an authorisation under section 3 above within six months of receiving the information referred to in subsection (1)(a) above; and if he refuses to issue the authorisation he shall inform the applicant in writing of the reasons for the refusal.

PART I
Combination
of long term
and general
business.

6. The Secretary of State shall not under section 3 above authorise a body to carry on both long term business and general business unless—

- (a) the long term business is restricted to reinsurance, or
- (b) the body is at the time the authorisation is issued already lawfully carrying on in the United Kingdom both long term business and general business (in neither case restricted to reinsurance).

United
Kingdom
applicants.

7.—(1) The Secretary of State shall not issue an authorisation under section 3 above to an applicant whose head office is in the United Kingdom unless the applicant is—

1948 c. 38.
1960 c. 22
(N.I.).

- (a) a company as defined in section 455 of the Companies Act 1948 or section 399 of the Companies Act (Northern Ireland) 1960, or
- (b) a registered society, or
- (c) a body corporate established by royal charter or Act of Parliament and already authorised under section 3 or 4 above to carry on insurance business (though not to the extent proposed in the application).

(2) The Secretary of State shall not issue an authorisation under section 3 above to an applicant whose head office is in the United Kingdom if it has an issued share capital any part of which was issued after the commencement of this section but is not fully paid up.

(3) The Secretary of State shall not issue an authorisation under section 3 above to an applicant whose head office is in the United Kingdom if it appears to the Secretary of State that any director, controller, manager or main agent of the applicant is not a fit and proper person to hold the position held by him.

(4) In this section “controller”, in relation to the applicant, means—

- (a) a managing director of the applicant or of a body corporate of which the applicant is a subsidiary ;
- (b) a chief executive of the applicant or of a body corporate, being an insurance company, of which the applicant is a subsidiary ;

(c) a person—

(i) in accordance with whose directions or instructions the directors of the applicant or of a body corporate of which it is a subsidiary are accustomed to act, or

(ii) who either alone or with any associate or associates is entitled to exercise, or control the exercise of, one-third or more of the voting power at

any general meeting of the applicant or of a body corporate of which it is a subsidiary.

PART I

(5) In this section "manager", in relation to the applicant, means an employee of the applicant (other than a chief executive) who, under the immediate authority of a director or chief executive of the applicant—

(a) exercises managerial functions, or

(b) is responsible for maintaining accounts or other records of the applicant,

not being a person whose functions relate exclusively to business conducted from a place of business outside the United Kingdom.

(6) In this section "main agent", in relation to the applicant, means, subject to such exceptions as may be prescribed, a person appointed by the applicant to be its agent in respect of general business in the United Kingdom, with authority to enter into contracts on behalf of the applicant in any financial year—

(a) without limit on the aggregate amount of premiums ;
or

(b) with a limit in excess of 10 per cent. of the premium limit as determined in accordance with Schedule 3 to this Act.

(7) In this section "chief executive", in relation to the applicant or a body corporate of which it is a subsidiary, means an employee of the applicant or that body corporate, who, either alone or jointly with others, is responsible under the immediate authority of the directors for the conduct of the whole of the insurance business of the applicant or that body corporate.

(8) In this section "associate", in relation to any person, means—

(a) the wife or husband or minor son or daughter of that person ;

(b) any company of which that person is a director ;

(c) any person who is an employee or partner of that person ;

(d) if that person is a company—

(i) any director of that company ;

(ii) any subsidiary of that company ;

(iii) any director or employee of any such subsidiary ;

and for the purposes of this subsection "son" includes step-son, "daughter" includes step-daughter and "minor", in relation to Scotland, includes pupil.

PART I
Applicants
from other
member
States.

8.—(1) The Secretary of State shall not issue an authorisation under section 3 above to an applicant whose head office is in a member State other than the United Kingdom unless the applicant has a representative fulfilling the requirements of section 10 below.

(2) The Secretary of State shall not issue an authorisation under section 3 above to an applicant whose head office is in a member State other than the United Kingdom if it appears to the Secretary of State that any relevant executive or main agent of the applicant is not a fit and proper person to hold the position held by him.

(3) Where an applicant whose head office is in a member State other than the United Kingdom seeks an authorisation under section 3 above restricted to reinsurance business—

- (a) the Secretary of State shall not issue the authorisation unless he is satisfied that the applicant is a body corporate entitled under the law of that State to carry on insurance business there; and
- (b) subsection (2) above shall have effect as if the reference to any relevant executive were a reference to any person who is a director, controller or manager of the applicant or a person within paragraph (a) or (b) of subsection (4) below.

(4) In this section “relevant executive” in relation to the applicant means a person who is—

- (a) the representative referred to in subsection (1) above or the individual representative referred to in section 10(5) below;
- (b) an officer or employee of the applicant who, either alone or jointly with others, is responsible for the conduct of the whole of the insurance business carried on by the applicant in the United Kingdom, not being a person who—
 - (i) is also responsible for the conduct of insurance business carried on by the applicant elsewhere, and
 - (ii) has a subordinate who is responsible for the whole of the insurance business carried on by the applicant in the United Kingdom; or
- (c) an employee of the applicant who, under the immediate authority of a director or of an officer or employee within paragraph (b) above,—
 - (i) exercises managerial functions, or
 - (ii) is responsible for maintaining accounts or other records of the applicant,

PART I

not being a person whose functions relate exclusively to business conducted from a place of business outside the United Kingdom ;

and "controller", "manager" and "main agent" have the same meanings as in section 7 above.

9.—(1) The Secretary of State shall not issue an authorisation under section 3 above in respect of long term or general business to an applicant whose head office is not in a member State unless he is satisfied—

Applicants from outside the Community.

(a) that the applicant is a body corporate entitled under the law of the place where its head office is situated to carry on long term or, as the case may be, general business there ;

(b) that the applicant has in the United Kingdom assets of such value as may be prescribed ; and

(c) that the applicant has made a deposit of such amount and with such person as may be prescribed ;

but subject to subsections (2) and (3) below.

(2) Where the applicant seeks to carry on insurance business in the United Kingdom and one or more other member States, the Secretary of State and the supervisory authority in the other State or States concerned may agree that this subsection shall apply to the applicant ; and in that event—

(a) paragraph (b) of subsection (1) above shall have effect as if the reference to the United Kingdom were a reference to the member States concerned taken together ; and

(b) paragraph (c) of that subsection shall have effect as if the reference to such person as may be prescribed were a reference to such person as may be agreed between the Secretary of State and the other supervisory authority or authorities concerned.

(3) Paragraph (c) of subsection (1) above shall not apply where the authorisation sought is one restricted to reinsurance.

(4) The Secretary of State shall not issue an authorisation under section 3 above to an applicant whose head office is not in a member State unless the applicant has a representative fulfilling the requirements of section 10 below.

(5) The Secretary of State shall not issue an authorisation under section 3 above to an applicant whose head office is not in a member State if it appears to the Secretary of State that—

(a) the representative of the applicant referred to in subsection (4) above or the individual representative referred to in section 10(5) below, or

PART I

(b) any director, controller or manager of the applicant, or
 (c) a main agent of the applicant,
 is not a fit and proper person to hold the position held by him.

(6) In this section “controller”, “manager” and “main agent” have the same meanings as in section 7 above, except that for the purposes of this section the controllers of the applicant shall be taken to include any officer or employee who, either alone or jointly with others, is responsible for the conduct of the whole of the insurance business carried on by the applicant in the United Kingdom, not being a person who—

(a) is also responsible for the conduct of insurance business carried on by it elsewhere ; and

(b) has a subordinate who is responsible for the whole of the insurance business carried on by the applicant in the United Kingdom.

(7) Regulations under this Act may make such provision as to deposits under this section as appears to the Secretary of State to be necessary or expedient, including provision for the deposit of securities instead of money, and, in relation to deposits with the Accountant General of the Supreme Court, provision applying (with or without modification) any of the provisions of the rules for the time being in force under section 38(7) of the Administration of Justice Act 1982.

1982 c. 53.

General
 representatives.

10.—(1) The requirements referred to in sections 8(1) and 9(4) above are those set out in the following provisions of this section.

(2) The representative must be a person resident in the United Kingdom who has been designated as the applicant’s representative for the purposes of this section.

(3) The representative must be authorised to act generally, and to accept service of any document, on behalf of the applicant.

(4) The representative must not be an auditor, or a partner or employee of an auditor, of the accounts of any business carried on by the applicant.

1948 c. 38.
 1960 c. 22
 (N.I.).

(5) If the representative is not an individual, it must be a company as defined in section 455 of the Companies Act 1948 or section 399 of the Companies Act (Northern Ireland) 1960 with its head office in the United Kingdom and must itself have an individual representative resident in the United Kingdom who is authorised to act generally, and to accept service of any document, on behalf of the company in its capacity as representative of the applicant.

Withdrawal of authorisation

PART I

11.—(1) The Secretary of State may, at the request of the company or on any grounds set out in subsection (2) below, direct that an insurance company authorised under section 3 or 4 above to carry on insurance business shall cease to be authorised to effect contracts of insurance, or contracts of any description specified in the direction.

Withdrawal of authorisation in respect of new business.

(2) The grounds referred to in subsection (1) above are—

- (a) that it appears to the Secretary of State that the company has failed to satisfy an obligation to which it is subject by virtue of this Act;
- (b) that there exists a ground on which he would be prohibited by section 7, 8 or 9 above from issuing an authorisation to the company;
- (c) that the company has ceased to be authorised to effect contracts of insurance, or contracts of a particular description, in a member State where it has its head office or where it has in accordance with section 9(2) above made a deposit.

(3) After giving a direction under this section otherwise than at the request of the company concerned the Secretary of State shall inform the company in writing of his reasons for giving the direction.

(4) A direction under this section shall not prevent a company from effecting a contract of insurance in pursuance of a term of a subsisting contract of insurance.

(5) Where a direction under this section has been given in respect of a company which has its head office, or has in accordance with section 9(2) above made a deposit, in a member State other than the United Kingdom, the Secretary of State may revoke or vary the direction if after consultation with the supervisory authority in that member State he considers it appropriate to do so.

(6) Subject to subsection (5) above a direction given under this section in respect of any insurance company may not be revoked or varied; but if the Secretary of State subsequently issues to the company under section 3 above an authorisation to carry on insurance business of a class to which the direction relates, the direction shall cease to have effect in relation to such business.

12.—(1) Before giving a direction under section 11 above otherwise than at the request of the company concerned the Secretary of State shall serve on the company a written notice stating—

Notices of withdrawal under section 11.

- (a) that he is considering giving a direction and the ground on which he is considering it; and

PART I

(b) that the company may, within the period of one month from the date of service of the notice, make written representations to the Secretary of State and, if the company so requests, oral representations to an officer of the Department of Trade appointed for the purpose by the Secretary of State.

(2) Before giving a direction under section 11 above in respect of a company on the ground that he would be prohibited by section 7(3), 8(2) or 9(5) from issuing an authorisation to the company, the Secretary of State shall serve on the person whose fitness is in question a written notice stating—

(a) that he is considering giving a direction on that ground ;
and

(b) that the person on whom the notice is served may, within the period of one month from the date of service of the notice, make written representations to the Secretary of State and, if that person so requests, oral representations to an officer of the Department of Trade appointed for the purpose by the Secretary of State.

(3) Subject to subsection (4) below, the Secretary of State shall consider any representations made in response to a notice under subsection (2) above before serving a notice under subsection (1) above.

(4) Subsection (3) above shall not apply where the position held by the person on whom the notice under subsection (2) above is served, and whose fitness for that position is in question, is controller of a company.

(5) A notice under subsection (1) or (2) above shall give particulars of the ground on which the Secretary of State is considering giving a direction.

(6) Where representations are made in response to a notice under subsection (1) or (2) above, the Secretary of State shall take them into consideration before giving a direction.

(7) Any notice to be served on a person under subsection (1) or (2) above may be served by post, and a letter containing the notice shall be deemed to be properly addressed if it is addressed to that person at his last known residence or last known place of business in the United Kingdom.

(8) After giving a direction under section 11 above the Secretary of State shall publish notice of it in the London, Edinburgh and Belfast Gazettes and in such other ways as appear to him expedient for notifying the public.

13.—(1) Where an insurance company ceases to carry on in the United Kingdom any insurance business, or insurance business of any class, the Secretary of State may direct that it shall cease to be authorised under section 3 or 4 above to carry on insurance business, or insurance business of that class. PART I
Final
withdrawal of
authorisation.

(2) If a body authorised under section 3 above to carry on insurance business of any class has not at any time carried on business of that class, and at least twelve months have elapsed since the issue of the authorisation, the Secretary of State may direct that it shall cease to be authorised to carry on business of that class.

(3) A direction under this section is without prejudice to the subsequent issue of an authorisation to carry on insurance business of a class to which the direction relates.

Offences

14.—(1) A person who carries on business in contravention of this Part of this Act shall be guilty of an offence. Offences
under Part I.

(2) A person who for the purpose of obtaining the issue of an authorisation furnishes information which he knows to be false in a material particular or recklessly furnishes information which is false in a material particular shall be guilty of an offence.

(3) A person guilty of an offence under this section shall be liable—

(a) on conviction on indictment, to imprisonment for a term not exceeding two years, or to a fine, or to both ;

(b) on summary conviction—

(i) in England and Wales and Northern Ireland, to a fine not exceeding £1,000 or, if it is greater, the prescribed sum within the meaning of section 32 of the Magistrates' Courts Act 1980 ; 1980 c. 43

(ii) in Scotland, to a fine not exceeding £1,000 or, if it is greater, the prescribed sum within the meaning of section 289B of the Criminal Procedure (Scotland) Act 1975 ; 1975 c. 21.

and for the purposes of the application of this subsection in Northern Ireland, the provisions of the Magistrates' Courts Act 1980 which relate to the sum mentioned in paragraph (b)(i) above shall extend to Northern Ireland.

PART II**REGULATION OF INSURANCE COMPANIES***Preliminary*

Insurance
companies to
which Part II
applies.

15.—(1) Subject to the provisions of this section, this Part of this Act applies to all insurance companies, whether established within or outside the United Kingdom, which carry on insurance business within the United Kingdom.

(2) This Part of this Act does not apply to any insurance company which is registered under the enactments relating to friendly societies.

(3) Where a trade union or an employers' association carries on insurance business, this Part of this Act does not apply to it as an insurance company if the insurance business is limited to the provision for its members of provident benefits or strike benefits.

1974 c. 52.

In this subsection "trade union" and "employers' association" have (throughout the United Kingdom) the meanings assigned to them by section 28 of the Trade Union and Labour Relations Act 1974.

(4) This Part of this Act does not apply to a member of Lloyd's who carries on insurance business of any class provided that he complies with the requirements set out in section 83 below and applicable to business of that class.

(5) This Part of this Act does not apply to a person by reason only that he carries on general business of class 14, 15, 16 or 17 in the course of carrying on, and for the purposes of, banking business.

(6) This Part of this Act does not apply to an insurance company whose insurance business is restricted to general business consisting in the effecting and carrying out of contracts of such descriptions as may be prescribed, being contracts under which the benefits provided by the insurer are exclusively or primarily benefits in kind.

Restriction of
business to
Insurance.

16.—(1) An insurance company to which this Part of this Act applies shall not carry on any activities, in the United Kingdom or elsewhere, otherwise than in connection with or for the purposes of its insurance business.

(2) For the purposes of subsection (1) above any activities of an insurance company that are excluded from the definition of insurance business by section 95(c) (ii) below shall be treated as carried on in connection with its insurance business.

Accounts and statements

PART II

17.—(1) Every insurance company to which this Part of this Act applies shall, with respect to each financial year of the company, prepare a revenue account for the year, a balance sheet as at the end of the year and a profit and loss account for the year or, in the case of a company not trading for profit, an income and expenditure account for the year.

Annual
accounts and
balance sheets.

(2) The contents of the documents required by subsection (1) above to be prepared shall be such as may be prescribed, but regulations may provide for enabling information required to be given by such documents to be given instead in a note thereon or statement or report annexed thereto or may require there to be given in such a note, statement or report such information in addition to that given in the documents as may be prescribed.

(3) Regulations may, as respects such matters stated in such documents as aforesaid or in statements or reports annexed thereto as may be prescribed, require there to be given by such persons as may be prescribed and to be annexed to the documents certificates of such matters as may be prescribed.

(4) If a form is prescribed—

(a) for any such document as aforesaid or,

(b) as that in which information authorised or required to be given in a statement or report annexed to any such document is to be given or,

(c) for a certificate to be so annexed,

the document shall be prepared, the information shall be given or, as the case may be, the certificate shall be framed, in that form.

18.—(1) Every insurance company to which this Part of this Act applies which carries on long term business—

(a) shall, once in every period of twelve months, cause an investigation to be made into its financial condition in respect of that business by the person who for the time being is its actuary under section 19(1) below or any corresponding enactment previously in force; and

(b) when such an investigation has been made, or when at any other time an investigation into the financial condition of the company in respect of its long term business has been made with a view to the distribution of profits, or the results of which are made public, shall cause an abstract of the actuary's report of the investigation to be made.

Periodic
actuarial
investigation
of company
with long
term business.

PART II

(2) An investigation to which subsection (1) (b) above relates shall include—

- (a) a valuation of the liabilities of the company attributable to its long term business ; and**
- (b) a determination of any excess over those liabilities of the assets representing the fund or funds maintained by the company in respect of that business and, where any rights of any long term policy holders to participate in profits relate to particular parts of such a fund, a determination of any excess of assets over liabilities in respect of each of those parts.**

(3) At least once in every period of five years an insurance company to which subsection (1) above applies shall prepare a statement of its long term business at the date to which the accounts of the company are made up for the purposes of an investigation in pursuance of paragraph (a) of that subsection.

(4) For the purposes of any investigation to which this section applies the value of any assets and the amount of any liabilities shall be determined in accordance with any applicable valuation regulations.

(5) The form and contents of any abstract or statement under this section shall be such as may be prescribed.

Appointment of actuary by company with long term business.

19.—(1) Every insurance company to which this Part of this Act applies shall within one month of beginning to carry on long term business appoint an actuary as actuary to the company ; and whenever an appointment under this section or any corresponding enactment previously in force comes to an end the company shall as soon as practicable make a fresh appointment.

(2) A company making an appointment under this section shall within fourteen days serve on the Secretary of State a written notice stating that fact and the name and qualifications of the person appointed ; and if an appointment under this section or any corresponding enactment previously in force comes to an end the company shall within fourteen days serve on the Secretary of State a written notice stating that fact and the name of the person concerned.

Annual statements by company with prescribed class of insurance business.

20. Classes of insurance business may be prescribed for the purposes of this section, and every insurance company to which this Part of this Act applies which carries on such business of a prescribed class shall annually prepare the prescribed statement of business of that class, being, if a form is prescribed for the statement, a statement in the prescribed form.

21.—(1) The accounts and balance sheets of every insurance company to which this Part of this Act applies shall be audited in the prescribed manner by a person of the prescribed description, and regulations made for the purposes of this section may apply to such companies the provisions of the Companies Acts 1948 to 1981 relating to audit, subject to such adaptations and modifications as may appear necessary or expedient. PART II
Audit of
accounts.

(2) In subsection (1) above the reference to accounts and balance sheets shall include a reference to any statement or report annexed thereto giving information authorised or required by virtue of section 17(2) above to be given in a statement or report so annexed.

22.—(1) Every account, balance sheet, abstract or statement required by sections 17, 18 and 20 above and any report of the auditor of the company made in pursuance of section 21 above shall be printed, and five copies shall be deposited with the Secretary of State within six months after the close of the period to which the account, balance sheet, abstract, statement or report relates; but if in any case it is made to appear to the Secretary of State that the circumstances are such that a longer period than six months should be allowed, the Secretary of State may extend that period by such period not exceeding three months as he thinks fit. Deposit of
accounts etc.
with Secretary
of State.

(2) There shall be deposited with the Secretary of State, at the same time as the documents mentioned in subsection (1) above, five printed copies of a statement of the names and the connection with the company of any persons who, during the period to which those documents relate—

- (a) were authorised by the company to issue, or to the knowledge of the company have issued, any such invitation in relation to the company as is mentioned in subsection (1)(a) of section 74 below; and
- (b) were connected with the company as provided by regulations under that section.

(3) One of the copies of any document deposited under subsection (1) or (2) above except an auditor's report shall be a copy signed by such persons as may be prescribed.

(4) One of the copies of any auditor's report deposited under subsection (1) above shall be a copy signed by the auditor.

(5) The Secretary of State shall consider the documents deposited under subsections (1) and (2) above, and if any such document appears to him to be inaccurate or incomplete in any respect he shall communicate with the company with a view to the correction of any such inaccuracies and the supply of deficiencies.

PART II

(6) There shall be deposited with every revenue account and balance sheet of a company any report on the affairs of the company submitted to the shareholders or policy holders of the company in respect of the financial year to which the account and balance sheet relate.

(7) In this section any reference to an account or balance sheet includes a reference to any statement or report annexed thereto giving information authorised or required by virtue of subsection (2) of section 17 above to be so given and any certificate so annexed by virtue of subsection (3) of that section.

Right of shareholders and policy holders to receive copies of deposited documents.

23.—(1) Subject to subsection (2) below, an insurance company shall forward by post or otherwise to any shareholder or policy holder who applies for one—

- (a) a printed copy of any of the documents last deposited by the company under subsection (1) or (2) of section 22 above;
- (b) a copy of any document supplied to the Secretary of State under subsection (5) of that section which relates to any of those documents;
- (c) a copy of any report deposited with any of those documents under subsection (6) of that section.

(2) If, in the opinion of the Secretary of State, the disclosure of information contained in—

- (a) a statement or report annexed to a document prepared in pursuance of section 17(1) above by an insurance company; or
- (b) a statement prepared in pursuance of section 20 above by such a company,

would be harmful to the business of the company or of any of its subsidiaries, the Secretary of State may dispense the company from complying with the obligation imposed by subsection (1) above to forward a copy of the document containing the information to a shareholder or policy holder who applies for it.

Deposit of accounts etc. by registered society.

24.—(1) A registered society shall, in addition to depositing with the Secretary of State, as required by section 22 above, five copies of each document to which subsections (1) and (2) of that section apply, deposit, within the time limited by virtue of that section for depositing them, a copy with the appropriate registrar in the case of a society registered in Great Britain or with the registrar in the case of a society registered in Northern Ireland, being a copy signed by the like persons as those by whom the copies deposited under that section are required to be signed.

PART II

(2) Subsection (6) of the said section 22 shall have effect in relation to the deposit by virtue of this section of accounts and balance sheets as it has effect in relation to the deposit by virtue of that section of accounts and balance sheets.

(3) Section 71(1) of the Industrial and Provident Societies Act 1965 (which empowers the Treasury to make regulations respecting, among other things, the inspection of documents kept by the appropriate registrar under that Act) and section 97(1) of the Industrial and Provident Societies Act (Northern Ireland) 1969 (which confers corresponding powers on the Department of Commerce for Northern Ireland) shall have effect as if the reference to documents kept by the appropriate registrar under that Act of 1965 or, as the case may be, by the registrar under that Act of 1969 included a reference to documents deposited in pursuance of this section.

(4) In this section "appropriate registrar" has the meaning given in section 73(1) of the said Act of 1965 and "registrar" has the meaning given by section 101(1) of the said Act of 1969.

25.—(1) Every insurance company to which this Part of this Act applies which carries on business of a class or description prescribed for the purposes of this section shall prepare, at such intervals and for such periods as may be prescribed, a statement of its business of that class or description.

Periodic statements by company with prescribed class of business.

(2) The form and contents of any statement under this section shall be such as may be prescribed.

(3) Regulations may, as respects such matters contained in a statement under this section as may be prescribed, require there to be given by such persons as may be prescribed and to be annexed to the statement certificates of such matters and in such form as may be prescribed.

(4) Five copies of any statement made under this section (with any certificate annexed thereto in pursuance of subsection (3) above) shall be deposited by the company with the Secretary of State within such period as may be prescribed, and one of those copies shall be a copy signed by the persons required to sign copies of statements made under section 20 above which are deposited under section 22 above.

(5) The whole or any part of any document deposited under subsection (4) above may be deposited by the Secretary of State with the registrar of companies or with the registrar of companies in Northern Ireland or with both and may be published by the Secretary of State in such ways as he thinks appropriate.

PART II

Statements of transactions of prescribed class or description.

26.—(1) Classes or descriptions of agreements or arrangements appearing to the Secretary of State as likely to be undesirable in the interests of policy holders may be prescribed for the purposes of this section, and every insurance company to which this Part of this Act applies or subordinate company within the meaning of section 31 below of any such company which enters into an agreement or arrangement of a class or description so prescribed shall, within such period as may be prescribed, furnish the Secretary of State with a statement containing such particulars of that agreement or arrangement as may be prescribed.

(2) Different classes or descriptions of agreements or arrangements may be prescribed for the purposes of this section in relation to companies of different classes or descriptions.

(3) The whole or any part of any statement furnished to the Secretary of State under this section may be deposited by him with the registrar of companies or with the registrar of companies in Northern Ireland or with both and may be published by the Secretary of State in such ways as he thinks appropriate.

Companies from outside the Community.

27. An insurance company to which this Part of this Act applies whose head office is not in a member State shall keep in the United Kingdom proper accounts and records in respect of insurance business carried on in the United Kingdom.

Assets and liabilities attributable to long term business

Separation of assets and liabilities attributable to long term business.

28.—(1) Where an insurance company to which this Part of this Act applies carries on ordinary long-term insurance business or industrial assurance business or both of those kinds of insurance business—

- (a) the company shall maintain an account in respect of that business or, as the case may be, each of those kinds of business; and
- (b) the receipts of that business or, as the case may be, each of those kinds of business shall be entered in the account maintained for that business and shall be carried to and form a separate insurance fund with an appropriate name.

(2) An insurance company to which this Part of this Act applies which carries on ordinary long-term insurance business or industrial assurance business or both of those kinds of business shall maintain such accounting and other records as are necessary for identifying—

- (a) the assets representing the fund or funds maintained by the company under subsection (1)(b) above (but with-

out necessarily distinguishing between the funds if more than one); and PART II

- (b) the liabilities attributable to that business or, as the case may be, each of those kinds of business.

29.—(1) Subject to subsections (2) and (4) and section 55(3) below, the assets representing the fund or funds maintained by an insurance company in respect of its long term business— Application of assets of company with long term business.

- (a) shall be applicable only for the purposes of that business, and

- (b) shall not be transferred so as to be available for other purposes of the company except where the transfer constitutes reimbursement of expenditure borne by other assets (in the same or the last preceding financial year) in discharging liabilities wholly or partly attributable to long term business.

(2) Where the value of the assets mentioned in subsection (1) above is shown, by an investigation to which section 18 above applies or which is made in pursuance of a requirement imposed under section 42 below, to exceed the amount of the liabilities attributable to the company's long term business the restriction imposed by that subsection shall not apply to so much of those assets as represents the excess.

(3) Subsection (2) above shall not authorise a transfer or other application of assets by reference to an actuarial investigation at any time after the date when the abstract of the actuary's report of the investigation has been deposited with the Secretary of State in accordance with section 22(1) above or section 42(4) below.

(4) Nothing in subsection (1) above shall preclude an insurance company from exchanging, at fair market value, assets representing a fund maintained by the company in respect of its long term business for other assets of the company.

(5) Any mortgage or charge (including—

- (a) a charge imposed by a court on the application of a judgment creditor,
(b) in Scotland, a charge imposed by way of diligence, and
(c) a charge imposed by the Enforcement of Judgments Office in Northern Ireland)

shall be void to the extent to which it contravenes subsection (1) above.

(6) Money from a fund maintained by a company in respect of its long term business may not be used for the purposes of

PART II any other business of the company notwithstanding any arrangement for its subsequent repayment out of the receipts of that other business.

(7) No insurance company to which this Part of this Act applies, and no company of which any such insurance company is a subsidiary, shall declare a dividend at any time when the value of the assets representing the fund or funds maintained by the insurance company in respect of its long term business, as determined in accordance with any applicable valuation regulations, is less than the amount of the liabilities attributable to that business as so determined.

Allocations to
policy holders.

30.—(1) Where in the case of an insurance company to which this Part of this Act applies—

(a) there is an established surplus in which long term policy holders of any category are eligible to participate, and

(b) an amount has been allocated to policy holders of that category in respect of a previously established surplus in which policy holders of that category were eligible to participate,

the company shall not by virtue of section 29(2) above transfer or otherwise apply assets representing any part of the surplus mentioned in paragraph (a) above unless the company has either allocated to policy holders of that category in respect of that surplus an amount not less than the relevant minimum, or complied with the requirements of subsection (3) below and made to those policy holders any allocation of which notice is given under paragraph (a) of that subsection.

(2) Subject to subsections (6) and (7) below, the relevant minimum is the amount represented by the formula

$$\frac{b \times c}{a} - \frac{c}{200}$$

where—

a is the last previously established surplus in respect of which an amount was allocated to policy holders of the category in question ;

b is the amount so allocated ; and

c is the surplus referred to in subsection (1)(a).

(3) The requirements of this subsection are that the company—

(a) has served on the Secretary of State a written notice stating that it proposes to make no allocation or an allocation of an amount (specifying it) which is smaller than the relevant minimum ; and

(b) has published a statement approved by the Secretary of State in the London, Edinburgh and Belfast Gazettes and in such other ways as he may have directed,

and that a period of not less than fifty-six days has elapsed since the date, or the last date, on which the company has published the statement mentioned in paragraph (b) above as required by or under that paragraph.

(4) In this section "established surplus" means an excess of assets representing the whole or a particular part of the fund or funds maintained by the company in respect of its long term business over the liabilities, or a particular part of the liabilities, of the company attributable to that business as shown by an investigation to which section 18 above applies or which is made in pursuance of a requirement imposed under section 42 below.

(5) For the purposes of this section an amount is allocated to policy holders if, and only if—

(a) bonus payments are made to them ; or

(b) reversionary bonuses are declared in their favour or a reduction is made in the premiums payable by them ;

and the amount of the allocation is, in a case within paragraph (a) above, the amount of the payments and, in a case within paragraph (b) above, the amount of the liabilities assumed by the company in consequence of the declaration or reduction.

(6) For the purposes of this section the amount of any bonus payments made in anticipation of an established surplus shall be treated as an amount allocated in respect of the next established surplus in respect of which an amount is allocated to eligible policy holders generally ; and for the purposes of subsection (2) above the amount of any surplus in respect of which such an allocation is made shall be treated as increased by the amount of any such payments.

(7) Subsection (1) above shall not authorise the application for purposes other than those mentioned in section 29(1) above of assets representing any part of the surplus mentioned in subsection (1)(a) above which the company has decided to carry forward unappropriated ; and for the purposes of subsection (2) above the amount of any surplus shall be treated as reduced by any part thereof which the company has decided to carry forward as aforesaid.

(8) For the purposes of subsection (1) above policy holders shall be taken to be eligible to participate in an established surplus in any case where they would be eligible to participate in a later established surplus representing it if it were carried forward unappropriated.

PART II
Restriction on
transactions
with
connected
persons.

31.—(1) Neither an insurance company to which this Part of this Act applies which carries on long term business nor a subordinate company of any such insurance company shall enter into a transaction to which this section applies—

- (a) at a time when the aggregate of the value of the assets and the amount of the liabilities attributable to such transactions already entered into by the insurance company and its subordinate companies exceeds the prescribed percentage of the total amount standing to the credit of the insurance company's long term funds ; or**
- (b) at any other time when the aggregate of the value of those assets and the amount of those liabilities would exceed that percentage if the transaction were entered into.**

(2) This section applies to any transaction entered into by any such insurance company as is mentioned in subsection (1) above (whether or not itself a subordinate company of another company), being a transaction under which—

- (a) a person connected with the insurance company will owe it money ; or**
- (b) the insurance company acquires shares in a company which is a person connected with it ; or**
- (c) the insurance company undertakes a liability to meet an obligation of a person connected with it or to help such a person to meet an obligation,**

if the right to receive the money would constitute a long term asset of the insurance company, the acquisition is made out of its long term funds or the liability would fall to be discharged out of those funds, as the case may be.

(3) Without prejudice to subsection (2) above, this section applies to any transaction entered into by a subordinate company of any such insurance company as is mentioned in subsection (1) above, being a transaction under which—

- (a) the insurance company or a person connected with it will owe money to the subordinate company (not being money owed by the insurance company which can be properly paid out of its long term funds) ; or**
- (b) the subordinate company acquires shares in the insurance company or in a company which is a person connected with the insurance company ; or**
- (c) the subordinate company undertakes a liability to meet an obligation of the insurance company or of a person connected with that company or to help the insurance company or such a person to meet an obligation ;**

PART II

but where the subordinate company is itself such an insurance company as is mentioned in subsection (1) above this section shall not by virtue of this subsection apply to any such transaction if the right to receive the money would constitute a long term asset of the subordinate company, the acquisition is made out of its long term funds or the liability would fall to be discharged out of those funds, as the case may be.

(4) In this section "subordinate company", in relation to any such insurance company as is mentioned in subsection (1) above, means—

(a) a company having equity share capital some or all of which is held by the insurance company as part of its long term assets where the share capital so held by the insurance company—

(i) amounts to more than half in nominal value of that share capital ; and

(ii) confers on the insurance company the power to appoint or remove the holders of all or a majority of the directorships of the company whose share capital is held and more than one half of the voting power at any general meeting of that company ;

(b) a company having equity share capital some or all of which is held by another company which is itself a subordinate company of the insurance company where the share capital held by that other company—

(i) amounts to more than half in nominal value of that share capital ; and

(ii) confers on that other company the power to appoint or remove the holders of all or a majority of the directorships of the company whose share capital is held and more than one half of the voting power at any general meeting of that company ;

and for the purposes of this subsection share capital held for any person by a nominee shall (except where that person is concerned only in a fiduciary capacity) be treated as held by that person, and share capital held by a person in a fiduciary capacity or by way of security shall be treated as not held by that person.

(5) For the purposes of this section a person is connected with any such insurance company as is mentioned in subsection (1) above if that person is not a subordinate company of the insurance company but—

(a) controls, or is a partner of a person who controls, the insurance company ; or

PART II

(b) being a company, is controlled by the insurance company or by another person who also controls the insurance company ; or

(c) is a director of the insurance company or the wife or husband or a minor son or daughter of such a director ; and for the purposes of this subsection a person controls a company if he is a controller of it within the meaning of section 7(4)(c) above.

(6) For the purposes of this section the value of any assets and the amount of any liabilities shall be determined in accordance with any applicable valuation regulations.

(7) In this section—

“company” (except in the expression “insurance company”) includes any body corporate ;

“equity share capital” means, in relation to a company, its issued share capital excluding any part thereof which, neither as respects dividends nor as respects capital, carries any right to participate beyond a specified amount in a distribution ;

“liability” includes a contingent liability ;

“long term assets” and “long term funds”, in relation to an insurance company, mean respectively assets representing the fund or funds maintained by the company in respect of its long term business and that fund or those funds ;

“the prescribed percentage” means 5 per cent. or such greater percentage as may from time to time be prescribed for the purposes of this section by regulations ;

“share” has the same meaning as in the Companies Act 1948 or the Companies Act (Northern Ireland) 1960 ;

“son” includes step-son, “daughter” includes step-daughter, and “minor”, in relation to Scotland, includes pupil and, (without prejudice to section 39(6) of the Adoption Act 1976 and section 39(4) of the Adoption (Scotland) Act 1978) in relation to Northern Ireland, “son” includes step-son and adopted son and “daughter” includes step-daughter and adopted daughter.

(8) This section shall not be construed as making any transaction unenforceable as between the parties thereto or as otherwise making unenforceable any rights or liabilities in respect of property.

Financial resources

32.—(1) Every insurance company to which this Part of this Act applies—

(a) whose head office is in the United Kingdom, or

1948 c. 38.
1960 c. 22
(N.I.).

1976 c. 36.
1978 c. 28.

Margins of
solvency.

PART II

- (b) whose business in the United Kingdom is restricted to reinsurance,

shall maintain a margin of solvency of such amount as may be prescribed by or determined in accordance with regulations made for the purposes of this section.

(2) Subject to subsection (3) below, every insurance company to which this Part of this Act applies whose head office is not in a member State shall maintain—

- (a) a margin of solvency, and

- (b) a United Kingdom margin of solvency,

of such amounts as may be prescribed by or determined in accordance with regulations made for the purposes of this section.

(3) Subsection (2) above shall not apply to an insurance company if its business in the United Kingdom is restricted to reinsurance or if section 9(2) above applies to it; but an insurance company that has made a deposit in the United Kingdom in accordance with section 9(2)(b) above shall maintain—

- (a) a margin of solvency, and

- (b) a Community margin of solvency,

of such amounts as may be prescribed by or determined in accordance with regulations made for the purposes of this section.

(4) An insurance company that fails to comply with subsection (1), (2) or (3) above—

- (a) shall at the request of the Secretary of State submit to him a plan for the restoration of a sound financial position;

- (b) shall propose modifications to the plan (or the plan as previously modified) if the Secretary of State considers it inadequate;

- (c) shall give effect to any plan accepted by the Secretary of State as adequate.

(5) For the purposes of this Act—

- (a) the margin of solvency of an insurance company is the excess of the value of its assets over the amount of its liabilities, that value and amount being determined in accordance with any applicable valuation regulations;

- (b) the United Kingdom margin of solvency of an insurance company is its margin of solvency computed by reference to the assets and liabilities of the business carried on by the company in the United Kingdom;

- (c) the Community margin of solvency of an insurance company is its margin of solvency computed by reference to the assets and liabilities of the business carried on by the company in member States (taken together).

PART II

(6) In the case of an insurance company that carries on both long term and general business, subsections (1), (2) and (3) above shall have effect as if—

- (a) the requirements to maintain a margin of solvency, and
- (b) where the company carries on both kinds of business in the United Kingdom, the requirement to maintain a United Kingdom margin of solvency, and
- (c) where the company carries on both kinds of business in member States (taken together), the requirement to maintain a Community margin of solvency,

were requirements to maintain separate margins in respect of the two kinds of business (and accordingly as if the references in subsection (5) to assets and liabilities were references to assets and liabilities relating to the kind of business in question).

Failure to
maintain
minimum
margin.

33.—(1) If—

- (a) the margin of solvency of an insurance company to which section 32(1) above applies, or
- (b) the margin of solvency or United Kingdom margin of solvency of an insurance company to which section 32(2) above applies, or
- (c) the margin of solvency or Community margin of solvency of an insurance company to which section 32(3) above applies,

falls below such amount as may be prescribed by or determined in accordance with regulations made for the purposes of this section, the company shall at the request of the Secretary of State submit to him a short-term financial scheme.

(2) An insurance company that has submitted a scheme to the Secretary of State under subsection (1) above shall propose modifications to the scheme (or the scheme as previously modified) if the Secretary of State considers it inadequate, and shall give effect to any scheme accepted by him as adequate.

(3) Where a company is required by virtue of section 32(6) above to maintain separate margins in respect of long term and general business, subsection (1) above shall have effect as if any reference to the margin of solvency, the United Kingdom margin of solvency or the Community margin of solvency of the company were a reference to the margin in respect of either of the two kinds of business.

Companies
supervised in
other member
States.

34.—(1) An insurance company to which this Part of this Act applies—

- (a) whose head office is in a member State other than the United Kingdom, or

- (b) which has in accordance with section 9(2) above made a deposit in such a member State,

PART II

shall secure that the value of the assets of the business carried on by it in the United Kingdom does not fall below the amount of the liabilities of that business, that value and amount being determined in accordance with any applicable valuation regulations.

(2) In the case of a company that carries on in the United Kingdom both long term and general business subsection (1) above shall have effect separately in relation to the assets and liabilities of the two kinds of business.

35.—(1) Regulations may make provision for securing that, in such circumstances and to such extent as may be prescribed, the assets of an insurance company to which this Part of this Act applies are maintained in such places as may be prescribed and the nature of the assets is appropriate in relation to the currency in which the liabilities of the company are or may be required to be met. Form and situation of assets.

(2) Regulations made for the purposes specified in subsection (1) above shall not have effect in relation to the assets of an insurance company whose head office is in a member State so far as their value exceeds the amount of the liabilities of the business carried on by the company in the United Kingdom, that value and amount being determined in accordance with any applicable valuation regulations.

Liabilities of unlimited amount

36. A contract entered into after the coming into force of this section by an insurance company to which this Part of this Act applies shall be void if— Avoidance of contracts for unlimited amounts.

- (a) it is a contract under which the company undertakes a liability the amount, or maximum amount, of which is uncertain at the time when the contract is entered into; and
- (b) it is not a contract of insurance or a contract of a class or description exempted by regulations from the operation of this section.

Powers of intervention

37.—(1) The powers conferred on the Secretary of State by sections 38 to 45 below shall be exercisable in relation to any insurance company to which this Part of this Act applies and shall be exercisable in accordance with the following provisions of this section. Grounds on which powers are exercisable.

PART II

(2) The powers conferred by sections 38 and 41 to 45 below shall be exercisable on any of the following grounds—

(a) that the Secretary of State considers the exercise of the power to be desirable for protecting policy holders or potential policy holders of the company against the risk that the company may be unable to meet its liabilities or, in the case of long term business, to fulfil the reasonable expectations of policy holders or potential policy holders ;

(b) that it appears to him—

(i) that the company has failed to satisfy an obligation to which it is or was subject by virtue of this Act or any enactment repealed by this Act or by the Insurance Companies Act 1974 ;

(ii) that a company of which it is a subsidiary has failed to satisfy an obligation to which it is or was subject by virtue of section 29(7) above or section 24(6) of the Insurance Companies Act 1974 or section 8(6) of the Insurance Companies Amendment Act 1973 ; or

(iii) that a subordinate company within the meaning of section 31 above of the company has failed to satisfy an obligation to which it is or was subject by virtue of that section or section 26 above or section 22 or 26 of the Insurance Companies Act 1974 or of section 6 or 10 of the said Act of 1973 ;

(c) that it appears to him that the company has furnished misleading or inaccurate information to the Secretary of State under or for the purposes of any provision of this Act or any enactment repealed by this Act or by the Insurance Companies Act 1974 ;

(d) that he is not satisfied that adequate arrangements are in force or will be made for the reinsurance of risks against which persons are insured by the company in the course of carrying on business, being risks of a class in the case of which he considers that such arrangements are required ;

(e) that there exists a ground on which he would be prohibited, by section 7, 8 or 9 above, from issuing an authorisation with respect to the company if it were applied for ;

(f) that it appears to him that there has been a substantial departure from any proposal or forecast submitted to him by the company in accordance with section 5 above ;

(g) that the company has ceased to be authorised to effect contracts of insurance, or contracts of a particular description, in a member State where it has its head

1974 c. 49.

1973 c. 58.

office or has in accordance with section 9(2) above made a deposit.

PART II

(3) The powers conferred on the Secretary of State by sections 39 and 40 below shall not be exercisable in relation to an insurance company except—

- (a) where the Secretary of State has given (and not revoked) a direction in respect of the company under section 11 above or section 11 of the Insurance Companies 1981 c. 31. Act 1981 ; or
- (b) on the ground that it appears to the Secretary of State that the company has failed to satisfy an obligation to which it is or was subject by virtue of section 33, 34 or 35 above or section 26B, 26C or 26D of the Insurance Companies Act 1974 c. 49. 1974 ; or
- (c) on the ground that a submission by the company to the Secretary of State of an account or statement specifies, as the amount of any liabilities of the company, an amount appearing to the Secretary of State to have been determined otherwise than in accordance with valuation regulations or, where no such regulations are applicable, generally accepted accounting concepts, bases and policies or other generally accepted methods appropriate for insurance companies.

(4) The power conferred on the Secretary of State by subsections (2) to (4) of section 44 below shall also be exercisable on the ground that he considers the exercise of that power to be desirable in the general interests of persons who are or may become policy holders of insurance companies to which this Part of this Act applies, and references in those subsections to a company include references to any body (whether incorporated or not) which appears to the Secretary of State to be an insurance company to which this Part of this Act applies.

(5) Any power conferred on the Secretary of State by section 38, 41, 42, 44(1) or 45 below shall also be exercisable, whether or not any of the grounds specified in subsections (2) and (4) above exists, in relation to—

- (a) any body in respect of which the Secretary of State has issued an authorisation ;
- (b) any insurance company to which this Part of this Act applies in the case of which a person has become a controller within the meaning of section 7(4)(c) above,

if that power is exercised before the expiration of the period of five years beginning with the date on which the authorisation was issued or that person became such a controller, as the case

PART II

may be ; but no requirement imposed by virtue of this subsection shall continue in force after the expiration of the period of ten years beginning with that date.

(6) The power conferred on the Secretary of State by section 45 below shall not be exercisable except in a case in which he considers that the purpose mentioned in that section cannot be appropriately achieved by the exercise of the powers conferred by sections 38 to 44 below or by the exercise of those powers alone.

(7) The Secretary of State shall, when exercising any power conferred by sections 38 to 45 below, state the ground on which he is exercising it or, if he is exercising it by virtue of subsection (5) above, that he is so exercising it ; but this subsection shall not apply where the Secretary of State has given notice under section 46 below of the proposed exercise of the power.

(8) The grounds specified in subsections (2)(b) to (g) and (4) above are without prejudice to the ground specified in subsection (2)(a) above.

Requirements
about
investments.

38.—(1) The Secretary of State may require a company—

(a) not to make investments of a specified class or description ;

(b) to realise, before the expiration of a specified period (or such longer period as the Secretary of State may allow), the whole or a specified proportion of investments of a specified class or description held by the company when the requirement is imposed.

(2) A requirement under this section may be framed so as to apply only to investments which are (or, if made, would be) assets representing a fund or funds maintained by the company in respect of its long term business or so as to apply only to other investments.

(3) A requirement under this section shall not apply to the assets of a company so far as their value exceeds—

(a) in the case of a company whose head office is in a member State other than the United Kingdom, or which has in accordance with section 9(2) above made a deposit in such a member State, the amount of the liabilities of the business carried on by the company in the United Kingdom ;

(b) in any other case, the amount of the liabilities of the company ;

that value and amount being determined in accordance with any applicable valuation regulations.

Maintenance
of assets in
the United
Kingdom.

39.—(1) The Secretary of State may require that assets of a company of a value which at any time is equal to the whole or a specified proportion of the amount of its domestic liabilities shall be maintained in the United Kingdom.

PART II

(2) The Secretary of State may direct that for the purposes of any requirement under this section assets of a specified class or description shall or shall not be treated as assets maintained in the United Kingdom.

(3) The Secretary of State may direct that for the purposes of any requirement under this section the domestic liabilities of a company, or such liabilities of any class or description, shall be taken to be the net liabilities after deducting any part of them which is reinsured.

(4) A requirement imposed under this section may be framed so as to come into effect immediately after the day on which it is imposed or so as to come into effect after the expiration of a specified period (or such longer period as the Secretary of State may allow).

(5) In this section any reference to a domestic liability is a reference to a liability of the business carried on by the company in the United Kingdom.

(6) Subject to subsection (7) below, in computing the amount of any liabilities for the purposes of this section all contingent and prospective liabilities shall be taken into account but not liabilities in respect of share capital.

(7) For the purposes of this section the value of any assets and the amount of any liabilities shall be determined in accordance with any applicable valuation regulations; and subsection (6) above shall have effect subject to any such regulations made by virtue of section 90(2) below.

40.—(1) The Secretary of State may, in the case of a company on which a requirement has been imposed under section 39 above or under section 31 of the Insurance Companies Act 1974, impose an additional requirement that the whole or a specified proportion of the assets to which the requirement under that section applies shall be held by a person approved by him for the purposes of the requirement under this section as trustee for the company. Custody of assets. 1974 c. 49.

(2) Section 39(4) above shall apply also to a requirement under this section.

(3) Assets of a company held by a person as trustee for a company shall be taken to be held by him in compliance with a requirement imposed under this section if, and only if, they are assets in whose case the company has given him written notice that they are to be held by him in compliance with such a requirement or they are assets into which assets in whose case the company has given him such written notice have, by any transaction or series of transactions, been transposed by him on the instructions of the company.

PART II

(4) No assets held by a person as trustee for a company in compliance with a requirement imposed under this section shall, so long as the requirement is in force, be released except with the consent of the Secretary of State.

(5) If a mortgage or charge is created by a company at a time when there is in force a requirement imposed on the company by virtue of this section, being a mortgage or charge conferring a security on any assets which are held by a person as trustee for the company in compliance with the requirement, the mortgage or charge shall, to the extent that it confers such a security, be void against the liquidator and any creditor of the company.

Limitation of
premium
income.

41.—(1) The Secretary of State may require a company to take all such steps as are requisite to secure that the aggregate of the premiums—

(a) to be received by the company in consideration of the undertaking by it during a specified period of liabilities in the course of carrying on general business or any specified part of such business ; or

(b) to be received by it in a specified period in consideration of the undertaking by the company during that period of liabilities in the course of carrying on long term business or any specified part of such business,

shall not exceed a specified amount.

(2) A requirement under this section may apply either to the aggregate premiums to be received as mentioned in subsection (1) above or to the aggregate of those premiums after deducting any premiums payable by the company for reinsuring the liabilities in consideration of which the first-mentioned premiums are receivable.

Actuarial
investigations.

42.—(1) The Secretary of State may require a company which carries on long term business—

(a) to cause the person who for the time being is its actuary under section 19(1) above or any corresponding enactment previously in force to make an investigation into its financial condition in respect of that business, or any specified part of that business, as at a specified date ;

(b) to cause an abstract of that person's report of the investigation to be made ; and

(c) to prepare a statement of its long term business or of that part thereof as at that date.

(2) For the purposes of any investigation made in pursuance of a requirement under this section the value of any assets and

PART II

the amount of any liabilities shall be determined in accordance with any applicable valuation regulations.

(3) The form and contents of any abstract or statement made in pursuance of a requirement under this section shall be the same as for an abstract or statement made under section 18 above and subsection (2) of that section shall apply to an investigation made in pursuance of this section as it applies to an investigation to which subsection (1)(b) of that section relates.

(4) Five copies of any abstract or statement made in pursuance of a requirement under this section shall be deposited by the company with the Secretary of State on or before such date as he may specify, and one of those copies shall be a copy signed by the persons required to sign copies of abstracts or statements made under the said section 18 which are deposited under section 22 above.

43.—(1) The Secretary of State may require any documents which under section 22 above are required to be deposited with him by a company within the period specified in that section to be deposited with him on or before a specified date before the end of that period, being a date not earlier than three months before the end of that period and not earlier than one month after the date on which the requirement is imposed.

Acceleration of information required by accounting provisions.

(2) The Secretary of State may require any statement which under section 25 above is required to be deposited with him by a company within a period prescribed under that section to be deposited with him on or before a specified date before the end of that period.

44.—(1) The Secretary of State may require a company to furnish him, at specified times or intervals, with information about specified matters being, if he so requires, information verified in a specified manner.

Power to obtain information and require production of documents.

(2) The Secretary of State may—

- (a) require a company to produce, at such time and place as he may specify, such books or papers as he may specify; or
- (b) authorise any person, on producing (if required so to do) evidence of his authority, to require a company to produce to him forthwith any books or papers which that person may specify.

(3) Where by virtue of subsection (2) above the Secretary of State or a person authorised by him has power to require the production of any books or papers from any company,

PART II

the Secretary of State or that person shall have the like power to require production of those books or papers from any person who appears to him to be in possession of them; but where any person from whom such production is required claims a lien on books or papers produced by him, the production shall be without prejudice to the lien.

(4) Any power conferred by or by virtue of subsections (2) and (3) above to require a company or other person to produce books or papers shall include power—

(a) if the books or papers are produced—

(i) to take copies of them or extracts from them; and

(ii) to require that person, or any other person who is a present or past director, controller or auditor of, or is or was at any time employed by, the company in question, to provide an explanation of any of them;

(b) if the books or papers are not produced, to require the person who was required to produce them to state, to the best of his knowledge and belief, where they are.

(5) A statement made by a person in compliance with a requirement imposed by virtue of this section may be used in evidence against him.

(6) In this section “books or papers” includes accounts, deeds, writings and documents.

Residual
power to
impose
requirements
for protection
of policy
holders.

45.—(1) The Secretary of State may require a company to take such action as appears to him to be appropriate for the purpose of protecting policy holders or potential policy holders of the company against the risk that the company may be unable to meet its liabilities or, in the case of long term business, to fulfil the reasonable expectations of policy holders or potential policy holders.

(2) The power conferred by this section shall not be exercised in such a way as to restrict the company's freedom to dispose of its assets except where it is exercised—

(a) after the Secretary of State has given a direction under section 11 above or section 11 of the Insurance Companies Act 1981; or

(b) on the ground that it appears to the Secretary of State that the company has failed to satisfy an obligation to which it is or was subject by virtue of section 33, 34 or 35 above or section 26B, 26C or 26D of the Insurance Companies Act 1974; or

(c) where the ground for intervention arises out of the submission by the company to the Secretary of State of an account or statement specifying, as the amount

1981 c. 31.

1974 c. 49.

PART II

of any liabilities of the company, an amount appearing to the Secretary of State to have been determined otherwise than in accordance with valuation regulations or, where no such regulations are applicable, generally accepted accounting concepts, bases and policies or other generally accepted methods appropriate for insurance companies.

46.—(1) Before exercising with respect to a company any power or powers conferred by sections 38 to 45 above on the ground that he would be prohibited from issuing an authorisation to the company because of the unfitness of a person for the position held by him (not being that of controller of the company), the Secretary of State shall serve on that person a written notice stating—

Notice of proposed exercise of powers on ground of unfitness of certain persons.

- (a) that the Secretary of State is considering exercising a power or powers conferred by those sections and the ground on which he is considering the exercise of the power or powers; and
- (b) that the person on whom the notice is served may, within the period of one month from the date of service of the notice, make written representations to the Secretary of State and, if that person so requests, oral representations to an officer of the Department of Trade appointed for the purpose by the Secretary of State.

(2) Unless the Secretary of State, after considering any representations made in accordance with subsection (1) above by the person served with a notice under that subsection, decides not to exercise the power or powers in relation to which the notice was served, he shall before exercising the power or powers serve on the company a written notice—

- (a) containing the matters mentioned in paragraphs (a) and (b) of that subsection, taking references to the person there mentioned as references to the company; and
- (b) specifying the power or powers which he proposes to exercise and, if the power or one of them is that conferred by section 45 above, specifying the manner of its proposed exercise.

(3) A notice under this section shall give particulars of the ground on which the Secretary of State is considering the exercise of the power or powers in question.

(4) Where representations are made in accordance with this section the Secretary of State shall take them into consideration before exercising the power or powers in question.

PART II

(5) A requirement imposed on a company in the exercise of any power or powers to which this section applies may be framed so as to come into effect after the expiration of a specified period (or such longer period as the Secretary of State may allow) unless before the expiration of that period the person whose fitness is in question has ceased to hold the position concerned.

Rescission,
variation and
publication of
requirements.

47.—(1) The Secretary of State may rescind a requirement imposed under sections 38 to 45 above if it appears to him that it is no longer necessary for the requirement to continue in force, and may from time to time vary any such requirement.

(2) No requirement imposed by virtue of subsection (5) of section 37 above shall be varied after the expiration of the period of five years mentioned in that subsection except in a manner which relaxes that requirement.

(3) Where a requirement is imposed under section 40 above or any such requirement is rescinded or varied the Secretary of State shall forthwith serve—

(a) except where paragraph (b) below applies, on the registrar of companies or on the registrar of companies in Northern Ireland or on both ;

(b) if the requirement is imposed on a registered society, on the appropriate registrar as defined by section 73(1) of the Industrial and Provident Societies Act 1965 in the case of a society registered in Great Britain or on the registrar as defined by section 101(1) of the Industrial and Provident Societies Act (Northern Ireland) 1969 in the case of a society registered in Northern Ireland ;

1965 c. 12.

1969 c. 24
(N.I.).

a written notice stating that fact and, in the case of a notice of the imposition of a requirement, setting out the terms of the requirement, in the case of a notice of the rescission of a requirement, identifying the requirement and, in the case of a notice of a variation of a requirement, identifying the requirement and setting out the terms of the variation.

(4) A notice served in pursuance of subsection (3) above on the registrar of companies or the registrar of companies in Northern Ireland shall be open to inspection, and a copy thereof may be procured by any person on payment of such fee as the Secretary of State or, in the case of a notice served on the registrar of companies in Northern Ireland, the Department of Commerce for Northern Ireland may direct ; and every document purporting to be certified by the registrar of companies or the registrar of companies in Northern Ireland to be a copy of such a notice shall be deemed to be a copy of that notice and shall be received in evidence as if it were the original notice unless some variation between it and the original is proved.

(5) Section 71(1) of the said Act of 1965 (which empowers the Treasury to make regulations respecting, among other things, the inspection of documents kept by the appropriate registrar under that Act) and section 97(1) of the said Act of 1969 (which confers corresponding powers on the Department of Commerce for Northern Ireland) shall have effect as if the reference to documents so kept included a reference to notices served in pursuance of subsection (3) above on the appropriate registrar or, as the case may be, on the registrar.

48.—(1) Section 37(1) of the Companies Act 1967 (power of Secretary of State to bring civil proceedings on behalf of body corporate) shall have effect in relation to an insurance company to which this Part of this Act applies (whether or not a body corporate) as if the reference to any information or document obtained under the provisions there mentioned included a reference to any information or document obtained under this Act or any enactment repealed by this Act or by the Insurance Companies Act 1974.

Power of Secretary of State to bring civil proceedings on behalf of insurance company.
1967 c. 81.
1974 c. 49.

(2) The Secretary of State may bring civil proceedings in the name and on behalf of an insurance company to which this Part of this Act applies (whether or not a body corporate) under subsection (1) of section 163 of the Companies Act (Northern Ireland) 1960 and that subsection shall have effect in relation to such an insurance company as if the reference to any information or document obtained under the provisions there mentioned included a reference to any information or document obtained under this Act or any enactment repealed by this Act or by the Insurance Companies Act 1980 and any reference to the Department of Commerce for Northern Ireland were a reference to the Secretary of State.

1960 c. 22 (N.I.).
1980 c. 25.

(3) Where under a judgment given or decree pronounced in proceedings brought by virtue of section 37(1) of the said Act of 1967 or section 163(1) of the said Act of 1960 on behalf of an insurance company a sum is recovered in respect of a loss of assets representing a fund or funds maintained by the company in respect of its long term business the court shall direct that the sum shall be treated for the purposes of this Act as assets of that fund or those funds and this Act shall have effect accordingly.

Transfers of long term business

49.—(1) Where it is proposed to carry out a scheme under which the whole or part of the long term business carried on in the United Kingdom by an insurance company to which this Part of this Act applies ("the transferor company") is to be transferred to another body whether incorporated or not ("the

Sanction of court for transfer of long term business.

PART II

transferee company") the transferor company or transferee company may apply to the court, by petition, for an order sanctioning the scheme.

(2) The court shall not determine an application under this section unless the petition is accompanied by a report on the terms of the scheme by an independent actuary and the court is satisfied that the requirements of subsection (3) below have been complied with.

(3) The said requirements are—

(a) that a notice has been published in the London, Edinburgh and Belfast Gazettes and, except where the court has otherwise directed, in two national newspapers stating that the application has been made and giving the address of the offices at which, and the period for which, copies of the documents mentioned in paragraph (d) below will be available as required by that paragraph;

(b) except where the court has otherwise directed, that a statement—

(i) setting out the terms of the scheme ; and

(ii) containing a summary of the report mentioned in subsection (2) above sufficient to indicate the opinion of the actuary on the likely effects of the scheme on the long term policy holders of the companies concerned,

has been sent to each of those policy holders and to every member of those companies ;

(c) that a copy of the petition, of the report mentioned in subsection (2) above and of any statement sent out under paragraph (b) above has been served on the Secretary of State and that a period of not less than twenty-one days has elapsed since the date of service ;

(d) that copies of the petition and of the report mentioned in subsection (2) above have been open to inspection at offices in the United Kingdom of the companies concerned for a period of not less than twenty-one days beginning with the date of the first publication of a notice in accordance with paragraph (a) above.

(4) Each of the companies concerned shall, on payment of such fee as may be prescribed by rules of court, furnish a copy of the petition and of the report mentioned in subsection (2) above to any person who asks for one at any time before an order sanctioning the scheme is made on the petition.

(5) On any petition under this section—

(a) the Secretary of State, and

PART II

- (b) any person (including any employee of the transferor company or the transferee company) who alleges that he would be adversely affected by the carrying out of the scheme,

shall be entitled to be heard.

(6) The court shall not make an order sanctioning the scheme unless it is satisfied that the transferee company is, or immediately after the making of the order will be, authorised under section 3 or 4 above to carry on long term business of the class or classes to be transferred under the scheme.

(7) No such transfer as is mentioned in subsection (1) above shall be carried out unless the scheme relating to the transfer has been sanctioned by the court in accordance with this section ; and no order shall be made under section 206 or 208 of the Companies Act 1948 or section 197 or section 199 of the Companies Act (Northern Ireland) 1960 (compromises and arrangements between a company and its creditors or members) in respect of so much of any compromise or arrangement as involves any such transfer. 1948 c. 38.
1960 c. 22
(N.I.).

(8) In this section "the court" means the High Court of Justice in England except that it means—

- (a) the Court of Session if the transferor company and the transferee company are both registered or both have their head offices in Scotland ; and
- (b) the High Court of Justice in Northern Ireland if the transferor company and the transferee company are both registered or both have their head offices in Northern Ireland ; and
- (c) either the High Court of Justice in England or the Court of Session if either the transferor company or the transferee company is registered or has its head office in Scotland ; and
- (d) either the High Court of Justice in England or the High Court of Justice in Northern Ireland if either the transferor company or the transferee company is registered or has its head office in Northern Ireland ; and
- (e) either the Court of Session or the High Court of Justice in Northern Ireland if the transferor company or the transferee company is registered or has its head office in Scotland and the other such company is registered or has its head office in Northern Ireland.

50.—(1) Where the court makes an order under section 49 above sanctioning a scheme the court may, either by that order Provisions
supplementary
to section 49.

PART II

or by any subsequent order, make provision for all or any of the following matters—

- (a) the transfer to the transferee company of the whole or any part of the undertaking and of the property or liabilities of the transferor company ;
- (b) the allotting or appropriation by the transferee company of any shares, debentures, policies or other like interests in that company which under the scheme are to be allotted or appropriated by that company to or for any person ;
- (c) the continuation by or against the transferee company of any legal proceedings pending by or against the transferor company ;
- (d) the dissolution, without winding up, of the transferor company ;
- (e) such incidental, consequential and supplementary matters as are necessary to secure that the scheme shall be fully and effectively carried out.

(2) Where any such order provides for the transfer of property or liabilities, that property shall, by virtue of the order, be transferred to and vest in, and those liabilities shall, by virtue of the order, be transferred to and become the liabilities of, the transferee company, and in the case of any property, if the order so directs, freed from any mortgage or charge which is by virtue of the scheme to cease to have effect.

(3) For the purposes of any provision requiring the delivery of an instrument of transfer as a condition for the registration of a transfer of any property (including in particular section 75 of the Companies Act 1948, section 56(4) of the Finance Act 1946, section 75 of the Companies Act (Northern Ireland) 1960 and section 27(4) of the Finance (No. 2) Act (Northern Ireland) 1946) an order which by virtue of this section operates to transfer any property shall be treated as an instrument of transfer.

(4) Where a scheme is sanctioned by an order of the court under section 49 above the transferee company shall, within ten days from the date on which the order is made or such longer period as the Secretary of State may allow, deposit two office copies of the order with the Secretary of State.

(5) In this section “property” includes property, rights and powers of every description, “liabilities” includes duties and “shares” and “debentures” have the same meaning as in the Companies Act 1948 or the Companies Act (Northern Ireland) 1960.

1948 c. 38.

1946 c. 64.

1960 c. 22
(N.I.).

1946 c. 17
(N.I.).

1948 c. 38.

Transfers of general business

PART II

51.—(1) Where it is proposed to execute an instrument by which an insurance company to which this Part of this Act applies ("the transferor") is to transfer to another body ("the transferee") all its rights and obligations under such general policies, or general policies of such descriptions, as may be specified in the instrument, the transferor may apply to the Secretary of State for his approval of the transfer.

Approval of
transfers of
general
business.

(2) The Secretary of State shall not determine an application made under subsection (1) above unless he is satisfied that—

- (a) a notice approved by him for the purpose has been published in the London, Edinburgh and Belfast Gazettes and, if he thinks fit, in two national newspapers which have been so approved; and
- (b) except in so far as he has otherwise directed, a copy of the notice has been sent to every affected policy holder and every other person who claims an interest in a policy included in the transfer and has given written notice of his claim to the transferor; and
- (c) copies of a statement setting out particulars of the transfer and approved by him for the purpose have been available for inspection at one or more places in the United Kingdom for a period of not less than thirty days beginning with the date of the first publication of the notice in accordance with paragraph (a) above.

(3) The notice referred to in subsection (2) above shall include a statement that written representations concerning the transfer may be sent to the Secretary of State before a specified day, which shall not be earlier than sixty days after the day of the first publication of the notice in accordance with paragraph (a) above; and the Secretary of State shall not determine the application until after considering any representations made to him before the specified day.

(4) The Secretary of State shall not approve a transfer on an application under subsection (1) above unless he is satisfied that—

- (a) every policy included in the transfer evidences a contract which—
 - (i) was entered into before the date of the application; and
 - (ii) imposes on the insurer obligations the performance of which will constitute the carrying on of insurance business in the United Kingdom; and
- (b) the transferee is, or immediately after the approval will be, authorised under section 3 or 4 above to carry on in the United Kingdom insurance business of the appropriate class or classes;

PART II

and unless in his opinion the transferee's financial resources and the other circumstances of the case justify the giving of his approval.

(5) On determining an application made under subsection (1) above, the Secretary of State shall—

- (a) publish a notice of his decision in the London, Edinburgh and Belfast Gazettes and in such other manner as he may think fit, and
- (b) send a copy of that notice to the transferor, the transferee and every person who made representations in accordance with the notice referred to in subsection (2) above;

and if he refuses the application he shall inform the transferor and the transferee in writing of the reasons for his refusal.

(6) Any notice or other document authorised or required to be given or served under this section or section 52 below may, without prejudice to any other method of service, be served by post; and a letter containing the notice or other document shall be deemed to be properly addressed if it is addressed to that person at his last known residence or last known place of business in the United Kingdom.

(7) In this section "general policy" means a policy evidencing a contract the effecting of which constituted the carrying on of general business; and for the purposes of this section a policy holder is an "affected policy holder" in relation to a proposed transfer if—

- (a) his policy is included in the transfer, or
- (b) his policy is with the transferor and the Secretary of State has certified, after consulting the transferor, that in the opinion of the Secretary of State the policy holder's rights and obligations under the policy will or may be materially affected by the transfer.

Effect of
approval
under
section 51.

52.—(1) Subject to subsection (2) below, an instrument giving effect to a transfer approved by the Secretary of State under section 51 above shall be effectual in law—

- (a) to transfer to the transferee all the transferor's rights and obligations under the policies included in the instrument, and
- (b) if the instrument so provides, to secure the continuation by or against the transferee of any legal proceedings by or against the transferor which relate to those rights or obligations,

notwithstanding the absence of any agreements or consents which would otherwise be necessary for it to be effectual in law for those purposes.

(2) Except in so far as the Secretary of State may otherwise direct, a policy holder whose policy is included in such an instrument shall not be bound by it unless he has been given written notice of its execution by the transferor or the transferee.

Winding up

53. The court may order the winding up, in accordance with the Companies Act 1948 or, as the case may be, the Companies Act (Northern Ireland) 1960, of an insurance company to which this Part of this Act applies and the provisions of that Act of 1948 or, as the case may be, that Act of 1960 shall apply accordingly subject to the modification that the company may be ordered to be wound up on the petition of ten or more policy holders owning policies of an aggregate value of not less than £10,000.

Winding up of insurance companies under Companies Acts. 1948 c. 38. 1960 c. 22 (N.I.).

Such a petition shall not be presented except by leave of the court, and leave shall not be granted until a *prima facie* case has been established to the satisfaction of the court and until security for costs for such amount as the court may think reasonable has been given.

54.—(1) The Secretary of State may present a petition for the winding up, in accordance with the Companies Act 1948, of an insurance company to which this Part of this Act applies, being a company which may be wound up by the court under the provisions of that Act, on the ground—

Winding up on petition of Secretary of State.

- (a) that the company is unable to pay its debts within the meaning of sections 222 and 223 or section 399 of that Act;
 - (b) that the company has failed to satisfy an obligation to which it is or was subject by virtue of this Act or any enactment repealed by this Act or by the Insurance Companies Act 1974; or
 - (c) that the company, being under the obligation imposed by section 12 of the Companies Act 1976 with respect to the keeping of accounting records, has failed to satisfy that obligation or to produce records kept in satisfaction of that obligation and that the Secretary of State is unable to ascertain its financial position.
- 1976 c. 69.

(2) The Secretary of State may present a petition for the winding up, in accordance with the Companies Act (Northern Ireland) 1960, of an insurance company to which this Part of (N.I.).

1960 c. 22 (N.I.).

PART II

this Act applies, being a company which may be wound up by the court under the provisions of that Act, on the ground—

- (a) that the company is unable to pay its debts within the meaning of sections 210 and 211 or section 349 of that Act;
- (b) that the company has failed to satisfy an obligation to which it is or was subject by virtue of this Act or any enactment repealed by this Act or by the Insurance Companies Act 1980; or
- (c) that the company, being under an obligation imposed by Article 25 of the Companies (Northern Ireland) Order 1978 with respect to the keeping of accounting records, has failed to satisfy that obligation or to produce records kept in satisfaction of that obligation and that the Secretary of State is unable to ascertain its financial position;

1980 c. 25.

S.I. 1978/1042
(N.I. 12).

and subsection (3) of section 163 of the said Act of 1960 shall have effect in relation to such an insurance company as if any reference to the Department of Commerce for Northern Ireland were a reference to the Secretary of State.

(3) In any proceedings on a petition to wind up an insurance company presented by the Secretary of State under subsection (1) or (2) above, evidence that the company was insolvent—

(a) at the close of the period to which—

(i) the accounts and balance sheet of the company last deposited under section 22 above; or

(ii) any statement of the company last deposited under section 25 above,

relate; or

(b) at any date or time specified in a requirement under section 42 or 44 above,

shall be evidence that the company continues to be unable to pay its debts, unless the contrary is proved.

1948 c. 38.
1960 c. 22
(N.I.).

(4) If, in the case of an insurance company to which this Part of this Act applies, being a company which may be wound up by the court under the provisions of the Companies Act 1948 or, as the case may be, the Companies Act (Northern Ireland) 1960, it appears to the Secretary of State that it is expedient in the public interest that the company should be wound up, he may, unless the company is already being wound up by the court, present a petition for it to be so wound up if the court thinks it just and equitable for it to be so wound up.

PART II

(5) Where a petition for the winding up of an insurance company to which this Part of this Act applies is presented by a person other than the Secretary of State, a copy of the petition shall be served on him and he shall be entitled to be heard on the petition.

55.—(1) No insurance company to which this Part of this Act applies which is an unincorporated body and carries on long term business shall be made the subject of bankruptcy proceedings or, in Scotland, sequestration proceedings.

Winding up of insurance companies with long term business.

(2) No insurance company to which this Part of this Act applies which carries on long term business shall be wound up voluntarily.

(3) Section 29(1) above shall not have effect in relation to the winding up of a company to which section 28(1) above applies but, subject to subsection (4) below and to rules made by virtue of section 59(2) below, in any such winding up—

(a) the assets representing the fund or funds maintained by the company in respect of its long term business shall be available only for meeting the liabilities of the company attributable to that business ;

(b) the other assets of the company shall be available only for meeting the liabilities of the company attributable to its other business.

(4) Where the value of the assets mentioned in either paragraph of subsection (3) above exceeds the amount of the liabilities mentioned in that paragraph the restriction imposed by that subsection shall not apply to so much of those assets as represents the excess.

(5) In relation to the assets falling within either paragraph of subsection (3) above the creditors mentioned in subsections (1) and (2) of section 246 of the Companies Act 1948 or, as the case may be, paragraphs (1) and (2) of Article 73 of the Companies (Northern Ireland) Order 1978 shall be only those who are creditors in respect of liabilities falling within that paragraph ; and any general meetings of creditors summoned for the purposes of that section shall accordingly be separate general meetings of the creditors in respect of the liabilities falling within each paragraph.

1948 c. 38.

S.I. 1978/1042 (N.I. 12).

(6) Where under section 333(1) of the said Act of 1948 or section 299 (1) of the Companies Act (Northern Ireland) 1960 (defalcations of directors etc. disclosed in course of winding up) a court orders any money or property to be repaid or restored to a company or any sum to be contributed to its assets then, if and so far as the wrongful act which is the reason for the making of

1960 c. 22 (N.I.).

PART II

the order related to assets representing a fund or funds maintained by the company in respect of its long term business, the court shall include in the order a direction that the money, property or contribution shall be treated for the purposes of this Act as assets of that fund or those funds and this Act shall have effect accordingly.

Continuation
of long term
business of
insurance
companies in
liquidation.

56.—(1) This section has effect in relation to the winding up of an insurance company to which this Part of this Act applies, being a company carrying on long term business.

(2) The liquidator shall, unless the court otherwise orders, carry on the long term business of the company with a view to its being transferred as a going concern to another insurance company, whether an existing company or a company formed for that purpose; and, in carrying on that business as aforesaid, the liquidator may agree to the variation of any contracts of insurance in existence when the winding up order is made but shall not effect any new contracts of insurance.

(3) If the liquidator is satisfied that the interests of the creditors in respect of liabilities of the company attributable to its long term business require the appointment of a special manager of the company's long term business, he may apply to the court, and the court may on such application appoint a special manager of that business to act during such time as the court may direct, with such powers, including any of the powers of a receiver or manager, as may be entrusted to him by the court.

1948 c. 38.

1960 c. 22
(N.I.).

(4) Subsections (2) and (3) of section 263 of the Companies Act 1948 or, in the case of a special manager appointed in proceedings in Northern Ireland, subsections (2) and (3) of section 236A of the Companies Act (Northern Ireland) 1960 (special manager to give security and receive remuneration) shall apply to a special manager appointed under subsection (3) above as they apply to a special manager appointed under section 263 of the said Act of 1948 or, as the case may be, section 236A of the said Act of 1960.

(5) The court may, if it thinks fit and subject to such conditions (if any) as it may determine, reduce the amount of the contracts made by the company in the course of carrying on its long term business.

(6) The court may, on the application of the liquidator, a special manager appointed under subsection (3) above or the Secretary of State, appoint an independent actuary to investigate

PART II

the long term business of the company and to report to the liquidator, the special manager or the Secretary of State, as the case may be, on the desirability or otherwise of that business being continued and on any reduction in the contracts made in the course of carrying on that business that may be necessary for its successful continuation.

(7) Notwithstanding section 245(1) of the said Act of 1948 or, as the case may be, section 227(1) of the said Act of 1960 (which requires a liquidator to obtain the sanction of the court or committee of inspection for the bringing of legal proceedings in the name of and on behalf of the company) the liquidator may without any such sanction make an application in the name of and on behalf of the company under section 49 above.

(8) In this section "the court" means the court having jurisdiction to wind up the company.

57.—(1) Where the insurance business or any part of the insurance business of an insurance company has been transferred to an insurance company to which this Part of this Act applies under an arrangement in pursuance of which the first-mentioned company (in this section called the subsidiary company) or the creditors thereof has or have claims against the company to which the transfer was made (in this section called the principal company), then, if the principal company is being wound up by or under the supervision of the court, the court shall, subject to the provisions of this section, order the subsidiary company to be wound up in conjunction with the principal company, and may by the same or any subsequent order appoint the same person to be liquidator for the two companies, and make provision for such other matters as may seem to the court necessary, with a view to the companies being wound up as if they were one company. Subsidiary companies.

(2) The commencement of the winding up of the principal company shall, save as otherwise ordered by the court, be the commencement of the winding up of the subsidiary company.

(3) In adjusting the rights and liabilities of the members of the several companies between themselves, the court shall have regard to the constitution of the companies, and to the arrangements entered into between the companies, in the same manner as the court has regard to the rights and liabilities of different classes of contributories in the case of the winding up of a single company, or as near thereto as circumstances admit.

(4) Where any company alleged to be subsidiary is not in process of being wound up at the same time as the principal company to which it is subsidiary, the court shall not direct

PART II the subsidiary company to be wound up unless, after hearing all objections (if any) that may be urged by or on behalf of the company against its being wound up, the court is of the opinion that the company is subsidiary to the principal company, and that the winding up of the company in conjunction with the principal company is just and equitable.

(5) An application may be made in relation to the winding up of any subsidiary company in conjunction with a principal company by any creditor of, or person interested in, the principal or subsidiary company.

(6) Where a company stands in the relation of a principal company to one company, and in the relation of a subsidiary company to some other company, or where there are several companies standing in the relation of subsidiary companies to one principal company, the court may deal with any number of such companies together or in separate groups, as it thinks most expedient, upon the principles laid down in this section.

Reduction of contracts as alternative to winding up.

58. In the case of an insurance company which has been proved to be unable to pay its debts, the court may, if it thinks fit, reduce the amount of the contracts of the company on such terms and subject to such conditions as the court thinks just, in place of making a winding up order.

Winding up rules.
1948 c. 38.
1960 c. 22
(N.I.).

59.—(1) Rules may be made under section 365 of the Companies Act 1948 or section 317 of the Companies Act (Northern Ireland) 1960 (general rules about winding up) for determining the amount of the liabilities of an insurance company to policy holders of any class or description for the purpose of proof in a winding up and generally for carrying into effect the provisions of this Part of this Act with respect to the winding up of insurance companies.

(2) Without prejudice to the generality of subsection (1) above, rules under section 365 of the said Act of 1948 or, as the case may be, section 317 of the said Act of 1960 may make provision for all or any of the following matters—

- (a) the identification of the assets and liabilities falling within either paragraph of subsection (3) of section 55 above;
- (b) the apportionment between the assets falling within paragraphs (a) and (b) of that subsection of the costs, charges and expenses of the winding up and of any debts of the company having priority under section

319 of the said Act of 1948, or, as the case may be, section 287 of the said Act of 1960 ;

PART II

- (c) the determination of the amount of liabilities of any description falling within either paragraph of that subsection for the purpose of establishing whether or not there is any such excess in respect of that paragraph as is mentioned in subsection (4) of section 55 above ;
- (d) the application of assets within paragraph (a) of the said subsection (3) for meeting the liabilities within that paragraph ;
- (e) the application of assets representing any such excess as is mentioned in the said subsection (4).

Changes of director, controller or manager etc.

60.—(1) No insurance company to which this Part of this Act applies shall appoint a person as managing director or chief executive of the company unless—

Approval of proposed managing director or chief executive of insurance company.

- (a) the company has served on the Secretary of State a written notice stating that it proposes to appoint that person to that position and containing such particulars as may be prescribed ; and
- (b) either the Secretary of State has, before the expiration of the period of three months beginning with the date of service of that notice, notified the company in writing that there is no objection to that person being appointed to that position or that period has elapsed without the Secretary of State having served on the company a written notice of objection.

(2) A notice served by a company under subsection (1)(a) above shall contain a statement signed by the person proposed to be appointed that it is served with his knowledge and consent.

(3) The Secretary of State may serve a notice of objection under subsection (1) above on the ground that it appears to him that the person proposed to be appointed is not a fit and proper person to be appointed to the position in question, but before serving such a notice the Secretary of State shall serve on the company and on that person a preliminary written notice stating—

- (a) that the Secretary of State is considering the service on the company of a notice of objection on that ground ; and
- (b) that the company and that person may, within the period of one month from the date of service of the preliminary notice, make written representations to the Secretary of State and, if the company or that person

PART II

so requests, oral representations to an officer of the Department of Trade appointed for the purpose by the Secretary of State.

(4) The Secretary of State shall not be obliged to disclose to the company or to the person proposed to be appointed any particulars of the ground on which he is considering the service on the company of a notice of objection.

(5) Where representations are made in accordance with this section the Secretary of State shall take them into consideration before serving the notice of objection.

Approval of person proposing to become controller of insurance company where section 60 does not apply.

61.—(1) No person shall become a controller of an insurance company to which this Part of this Act applies otherwise than by virtue of an appointment in relation to which section 60 above has effect unless—

(a) he has served on the Secretary of State a written notice stating that he intends to become a controller of that company and containing such particulars as may be prescribed ; and

(b) either the Secretary of State has, before the expiration of the period of three months beginning with the date of service of that notice, notified him in writing that there is no objection to his becoming a controller of the company or that period has elapsed without the Secretary of State having served on him a written notice of objection.

(2) The Secretary of State may serve a notice of objection under subsection (1) above on the ground that it appears to him that the person concerned is not a fit and proper person to be a controller of the company, but before serving such a notice the Secretary of State shall serve on that person a preliminary written notice stating—

(a) that the Secretary of State is considering the service on him of a notice of objection on that ground ; and

(b) that that person may, within the period of one month from the date of service of the preliminary notice, make written representations to the Secretary of State and, if that person so requests, oral representations to an officer of the Department of Trade appointed for the purpose by the Secretary of State.

(3) The Secretary of State shall not be obliged to disclose to any person any particulars of the ground on which he is considering the service on him of a notice of objection.

(4) Where representations are made in accordance with this section the Secretary of State shall take them into consideration before serving the notice of objection.

62.—(1) A person who becomes or ceases to be a controller of an insurance company to which this Part of this Act applies shall, before the expiration of the period of seven days beginning with the day next following that on which he does so, notify the insurance company in writing of that fact and of such other matters as may be prescribed; and a person who becomes a director or manager of any such insurance company shall, before the expiration of the period of seven days beginning with the day next following that on which he does so, notify the insurance company in writing of such matters as may be prescribed.

PART II

Duty to notify change of director, controller or manager.

(2) An insurance company to which this Part of this Act applies shall give written notice to the Secretary of State of the fact that any person has become or ceased to be a director, controller or manager of the company and of any matter of which any such person is required to notify the company under subsection (1) above; and that notice shall be given before the expiration of the period of fourteen days beginning with the day next following that on which that fact or matter comes to the company's knowledge.

63.—(1) In relation to an insurance company whose head office is in a member State other than the United Kingdom, excluding a company whose business in the United Kingdom is restricted to reinsurance,—

Change of manager etc. of company from outside United Kingdom.

(a) section 60 above shall have effect as if the references to a managing director or chief executive were references to a principal United Kingdom executive;

(b) section 61 above shall not apply;

(c) section 62 above shall have effect as if references to a director or manager were references to a principal United Kingdom executive, an employee within section 8(4)(c) above or an authorised United Kingdom representative.

(2) In relation to any other insurance company whose head office is outside the United Kingdom—

(a) section 60 above shall have effect as if the references to a chief executive included references to a principal United Kingdom executive; and

(b) section 62 above shall have effect as if the references to a director included references to a principal United Kingdom executive and to an authorised United Kingdom representative.

(3) In this section—

“principal United Kingdom executive” means an officer or employee within section 8(4)(b) or 9(6) above; and

PART II

“ authorised United Kingdom representative ” means a representative fulfilling the requirements of section 10 above or an individual representative of the kind described in subsection (5) of that section.

Duty to
notify
change of
main agent.

64.—(1) An insurance company to which this Part of this Act applies shall give written notice to the Secretary of State of the fact that any person has become or ceased to be a main agent of the company and, if a main agent is a body corporate or a firm, of the fact that any person has become or ceased to be a director of the body or partner of the firm.

(2) A notice under this section shall be given before the expiration of the period of fourteen days beginning with the day next following that on which the change comes to the knowledge of the insurance company.

Miscellaneous

Documents
deposited with
Secretary of
State.

65.—(1) The Secretary of State shall deposit with the registrar of companies one copy of—

(a) any document deposited with the Secretary of State under section 22 above, including any document obtained under subsection (5) of that section ;

(b) any document deposited with him under section 42(4) or 50(4) above.

(2) Subject to subsection (3) below, any document deposited under this section or section 25(5) or 26(3) above with the registrar of companies shall be open to inspection and copies thereof may be procured by any person on payment of such fees as the Secretary of State may direct.

(3) Subsection (2) above shall not apply to any document if it is a copy of a document in respect of which a dispensation has been granted under section 23(2) above.

(4) Every document deposited with the Secretary of State under this Part of this Act and certified by the registrar of companies to be a document so deposited shall be deemed to be a document so deposited ; and every document purporting to be certified by the registrar of companies to be a copy of a document so deposited shall be deemed to be a copy of that document and shall be received in evidence as if it were the original document unless some variation between it and the original is proved.

66. Any insurance company which is required to prepare and deliver accounts under Article 3 or 11 of the Companies (Northern Ireland) Order 1978 shall deposit with the registrar of companies in Northern Ireland one copy of—

PART II Documents
deposited in
Northern
Ireland.

(a) any document deposited with the Secretary of State under section 22(1), 22(2), 22(6), 42(4) or 50(4) above ;

S.I. 1978/1042
(N.I. 12).

(b) any document supplied by the company to the Secretary of State under section 22(5) above.

67.—(1) The Secretary of State may, on the application or with the consent of an insurance company to which this Part of this Act applies, by order direct that for the purposes of the application to the company of all or any of the provisions to which this section applies—

Power to
treat certain
business as
or as not
being ordinary
long-term
insurance
business.

(a) business of a kind specified in the order, not being ordinary long-term insurance business, shall be treated as being such business ; or

(b) ordinary long-term insurance business of a kind so specified shall be treated as not being such business.

(2) An order under subsection (1)(b) above may direct that the business specified in the order shall be treated as falling within a specified class of business.

(3) An order under this section may be subject to conditions and may be varied or revoked at any time by the Secretary of State.

(4) The provisions to which this section applies are sections 17 to 20, 25, 28 to 31, 42, 55, 56 and 59(2) of this Act and section 21 of the Policyholders Protection Act 1975 and Schedule 3 to that Act.

68.—(1) The Secretary of State may, on the application or with the consent of an insurance company to which this Part of this Act applies, by order direct that all or any of the provisions to which this section applies shall not apply to the company or shall apply to it with such modifications as may be specified in the order.

Power to
modify Part
II in relation
to particular
companies.

(2) An order under this section may be subject to conditions.

(3) An order under this section may be revoked at any time by the Secretary of State ; and the Secretary of State may at any time vary any such order on the application or with the consent of the company to which it applies.

(4) The provisions to which this section applies are sections 16 to 22, 23(1) and 25 to 36 of this Act, the provisions of

PART II regulations made for the purposes of any of those sections and the provisions of any valuation regulations.

(5) In relation to section 31 above, subsection (1) above shall have effect as if the reference to an insurance company to which this Part of this Act applies included a reference to any subordinate company within the meaning of that section of any such insurance company.

Power to
alter insurance
company's
financial year.

69. The Secretary of State may extend or shorten, for the purposes of this Part of this Act, the duration of any financial year of an insurance company to which this Part of this Act applies.

Service of
notices.

70.—(1) Any notice which is by this Part of this Act required to be sent to any policy holder may be addressed and sent to the person to whom notices respecting that policy are usually sent, and any notice so addressed and sent shall be deemed to be notice to the holder of the policy.

(2) Where any person claiming to be interested in a policy has given to the company notice in writing of his interest, any notice which is by this Part of this Act required to be sent to policy holders shall also be sent to that person at the address specified by him in his notice.

(3) Any notice to be served on any person by the Secretary of State under section 46, 60 or 61 above may be served by post, and a letter containing that notice shall be deemed to be properly addressed if it is addressed to that person at his last known residence or last known place of business in the United Kingdom.

Offences
under Part II.

71.—(1) Any person who—

(a) makes default in complying with sections 28 to 30 or 62(1) above ; or

(b) in purported compliance with a requirement imposed under section 44 above furnishes information which he knows to be false in a material particular or recklessly furnishes information which is false in a material particular ; or

(c) causes or permits to be included in—

(i) any document copies of which are, by section 22 of this Act, required to be deposited with the Secretary of State ;

(ii) any notice, statement or certificate served or furnished under or by virtue of section 19(2) or 26(1) above ;

(iii) any document deposited with the Secretary of State under section 25(4) or 42(4) above ;

(iv) any statement sent out under section 49(3)(b) above or made available under section 51(2)(c) above, a statement which he knows to be false in a material particular or recklessly causes or permits to be so included any statement which is false in a material particular,

shall be guilty of an offence.

(2) Any person guilty of an offence under subsection (1) above shall be liable—

(a) on conviction on indictment, to imprisonment for a term not exceeding two years, or to a fine, or to both ;

(b) on summary conviction—

(i) in England and Wales and Northern Ireland, to a fine not exceeding £1,000 or, if it is greater, the prescribed sum within the meaning of section 32 of the Magistrates' Courts Act 1980 ;

1980 c. 43.

(ii) in Scotland, to a fine not exceeding £1,000 or, if it is greater, the prescribed sum within the meaning of section 289B of the Criminal Procedure (Scotland) Act 1975 ;

1975 c. 21.

and for the purposes of the application of this subsection in Northern Ireland, the provisions of the Magistrates' Courts Act 1980 which relate to the sum mentioned in paragraph (b)(i) above shall extend to Northern Ireland.

(3) Subject to the following provisions of this section—

(a) any insurance company which makes default in complying with, or with a requirement imposed under, any provision of this Part of this Act, being a default for which no penalty is provided by the foregoing provisions of this section ; and

(b) any other person who makes default in complying with, or with a requirement imposed under, section 26, 29(7), 31, 38, 39, 40, 41, 44, 45, 49(4), 50(4) or 61(1) above,

shall be guilty of an offence and liable, on summary conviction in England and Wales and Scotland to a fine not exceeding level 5 on the standard scale and, on summary conviction in Northern Ireland to a fine not exceeding £400.

(4) Where a person continues to make default in complying with—

(a) section 22(1) or (2), 24(1), 25(4) or 42(4) above ; or

PART II

(b) a requirement imposed under section 43 or 44(1) above, after being convicted of that default he shall be guilty of a further offence and liable on summary conviction to a fine not exceeding £40 for each day on which the default so continues.

(5) A person shall not be guilty of an offence by reason of his default in complying with section 61 or 62(1) above if he proves that he did not know that the acts or circumstances by virtue of which he became or ceased to be a controller of the body in question were such as to have that effect.

(6) Where a person is charged with an offence in respect of his default in complying with a requirement imposed under section 44(2) or (3) above to produce any books or papers it shall be a defence to prove that they were not in his possession or control and that it was not reasonably practicable for him to comply with the requirement.

(7) An insurance company shall not be guilty of an offence by reason of its default in complying with section 16 or 51 (other than subsection (2)(c), above.

PART III**CONDUCT OF INSURANCE BUSINESS****Insurance**

72.—(1) Regulations may be made as to the form and contents of insurance advertisements.

(2) Regulations under this section may make different provision in relation to insurance advertisements of different classes or descriptions.

(3) Subject to subsection (4) below, any person who issues an insurance advertisement which contravenes regulations under this section shall be guilty of an offence.

(4) A person who in the ordinary course of his business issues an advertisement to the order of another person, being an advertisement the issue of which by that other person constitutes an offence under subsection (3) above, shall not himself be guilty of the offence if he proves that the matters contained in the advertisement were not (wholly or in part) devised or selected by him or by any person under his direction or control.

(5) In this section “insurance advertisement” means an advertisement inviting persons to enter into or to offer to enter into contracts of insurance, and an advertisement which contains information calculated to lead directly or indirectly to persons entering into or offering to enter into such contracts shall be treated as an advertisement inviting them to do so.

PART III

(6) In this section "advertisement" includes every form of advertising, whether in a publication or by the display of notices or by means of circulars or other documents or by an exhibition of photographs or cinematograph films or by way of sound broadcasting or television, and references to the issue of an advertisement shall be construed accordingly.

(7) For the purposes of this section an advertisement issued by any person on behalf of or to the order of another person shall be treated as an advertisement issued by that other person; and for the purposes of any proceedings under this section an advertisement inviting persons to enter into or to offer to enter into contracts with a person specified in the advertisement shall be presumed, unless the contrary is proved, to have been issued by that person.

73. Any person who, by any statement, promise or forecast which he knows to be misleading, false or deceptive, or by any dishonest concealment of material facts, or by the reckless making (dishonestly or otherwise) of any statement, promise or forecast which is misleading, false or deceptive, induces or attempts to induce another person to enter into or offer to enter into any contract of insurance with an insurance company shall be guilty of an offence. Misleading statements etc. inducing persons to enter into contracts of insurance.

74.—(1) Regulations may be made for requiring any person who— Intermediaries in insurance transactions.

- (a) invites another person to make an offer or proposal or to take any other step with a view to entering into a contract of insurance with an insurance company; and
- (b) is connected with that company as provided in the regulations,

to give the prescribed information with respect to his connection with the company to the person to whom the invitation is issued.

(2) Regulations may be made for requiring any person who, in the course of carrying on any business or profession, issues any such invitation as is mentioned in subsection (1)(a) above in relation to an insurance company which is not an authorised insurer in respect of the contract in question to inform the person to whom the invitation is issued that the company is not such an insurer as aforesaid.

In this subsection "authorised insurer", in relation to a contract of any description, means a person entitled to carry on in the United Kingdom insurance business of a class comprising the effecting of contracts of that description.

(3) Any person who contravenes regulations under this section shall be guilty of an offence.

PART III

Statutory
notice by
insurer in
relation to
long term
policy.

75.—(1) Subject to subsection (5) below, no insurance company to which Part II of this Act applies and no member of Lloyd's shall enter into a contract the effecting of which constitutes the carrying on of ordinary long-term insurance business unless that company or member ("the insurer") either—

- (a) has sent by post to the other party to the contract a statutory notice in relation to that contract ; or
- (b) does so at the time when the contract is entered into.

(2) For the purposes of this section a statutory notice is a notice which—

- (a) contains such matters (and no others) and is in such form as may be prescribed for the purposes of this section and complies with such requirements (whether as to type, size, colour or disposition of lettering, quality or colour of paper, or otherwise) as may be prescribed for securing that the notice is easily legible ; and
- (b) has annexed to it a form of notice of cancellation of the prescribed description for use under section 76 below.

(3) The Secretary of State may, on the application of any insurer, alter the requirements of any regulations made for the purposes of subsection (2)(a) above so as to adapt those requirements to the circumstances of that insurer or to any particular kind of contract proposed to be entered into by that insurer.

(4) Any insurer who contravenes this section shall be guilty of an offence but, without prejudice to section 76(2) below, no contract shall be invalidated by reason of the fact that the insurer has contravened this section in relation to that contract.

(5) Subsection (1) of this section does not apply to any contract the effecting of which by the insurer constitutes the carrying on of industrial assurance business ; and regulations may exempt from that subsection contracts of any other class or description.

(6) In sections 76 and 77 below "insurer" and "statutory notice" have the same meaning as in this section.

76.—(1) A person who has received a statutory notice from an insurer in relation to any contract to which section 75(1) above applies may before the expiration of—

- (a) the tenth day after that on which he received the notice, or
- (b) the earliest day on which he knows both that the contract has been entered into and that the first or only premium has been paid,

whichever is the later, serve a notice of cancellation on the insurer.

Right to
withdraw
from
transaction
in respect of
long term
policy.

PART III

(2) A person to whom an insurer ought to have, but has not, sent a statutory notice in relation to any such contract as aforesaid may serve a notice of cancellation on the insurer; but if the insurer sends him a statutory notice in relation to that contract before he has served a notice of cancellation under this subsection, then, without prejudice to his right to serve a notice of cancellation under subsection (1) above, his right to do so under this subsection shall cease.

(3) A notice of cancellation may, but need not, be in the form annexed to the statutory notice and shall have effect if, however expressed, it indicates the intention of the person serving it to withdraw from the transaction in relation to which the statutory notice was or ought to have been sent.

(4) Where a person serves a notice of cancellation, then—

- (a) if at the time when the notice is served the contract has been entered into, the notice shall operate so as to rescind the contract;
- (b) in any other case, the service of the notice shall operate as a withdrawal of any offer to enter into the contract which is contained in, or implied by, any proposal made to the insurer by the person serving the notice of cancellation and as notice to the insurer that any such offer is withdrawn.

(5) Where a notice of cancellation operates to rescind a contract or as the withdrawal of an offer to enter into a contract—

- (a) any sum which the person serving the notice has paid in connection with the contract (whether by way of premium or otherwise and whether to the insurer or to a person who is the agent of the insurer for the purpose of receiving that sum) shall be recoverable from the insurer by the person serving the notice;
- (b) any sum which the insurer has paid under the contract shall be recoverable by him from the person serving the notice.

(6) Any sum recoverable under subsection (5) above shall be recoverable as a simple contract debt in any court of competent jurisdiction.

77.—(1) For the purposes of section 76 above a notice of cancellation—

- (a) shall be deemed to be served on the insurer if it is sent by post addressed to any person specified in the statutory notice as a person to whom a notice of

Service of
notice of
cancellation.

PART III

cancellation may be sent, and is addressed to that person at an address so specified; and

- (b) where paragraph (a) above applies, shall be deemed to be served on the insurer at the time when it is posted.

(2) Subsection (1) above shall have effect without prejudice to the service of a notice of cancellation (whether by post or otherwise) in any way in which the notice could be served apart from that subsection, whether the notice is served on the insurer or on a person who is the agent of the insurer for the purpose of receiving such a notice.

(3) A notice of cancellation which is sent by post to a person at his proper address, otherwise than in accordance with subsection (1) above, shall be deemed to be served on him at the time when it is posted.

1978 c. 30.

(4) So much of section 7 of the Interpretation Act 1978 as relates to the time when service is deemed to have been effected shall not apply to a notice of cancellation.

Linked long
term policies.

78.—(1) Regulations may be made, as respects the matters specified in subsection (2) below, in relation to contracts the effecting of which constitutes the carrying on of ordinary long-term insurance business and which—

- (a) are entered into by insurance companies to which Part II of this Act applies or by members of Lloyd's; and
 - (b) are contracts under which the benefits payable to the policy holder are wholly or partly to be determined by reference to the value of, or the income from, property of any description (whether or not specified in the contract) or by reference to fluctuations in, or in an index of, the value of property of any description (whether or not so specified).
- (2) Regulations under this section may make provision for—
- (a) restricting the descriptions of property or the indices of the value of property by reference to which benefits under the contracts may be determined;
 - (b) regulating the manner in which and the frequency with which property of any description is to be valued for the purpose of determining such benefits and the times at which reference is to be made for that purpose to any index of the value of property;
 - (c) requiring insurers under the contracts to appoint valuers for carrying out valuations of property of any description for the purpose of determining such benefits (being valuers who comply with the prescribed requirements

PART III

as to qualifications and independence from the insurer) and to furnish the Secretary of State with the prescribed information in relation to such appointments ;

- (d) requiring insurers under the contracts to furnish, in such manner and at such times or intervals as may be prescribed, such information relating to the value of the benefits under the contracts as may be prescribed, whether by sending notices to policy holders, depositing statements with the Secretary of State or the registrar of companies or the registrar of companies in Northern Ireland or with both such registrars, publication in the press or otherwise ;
- (e) requiring insurers under the contracts to furnish to the Secretary of State, in such manner and at such times or intervals as may be prescribed, such information certified in such manner as may be prescribed with respect to so much of their business as is concerned with the contracts or with any class or description of the contracts, and enabling the Secretary of State to publish such information in such ways as he thinks appropriate.

(3) Regulations made for the purposes of subsection (2)(d) above may, in relation to notices required to be sent to policy holders, impose requirements (whether as to type, size, colour or disposition of lettering, quality or colour of paper, or otherwise) for securing that such notices are easily legible.

(4) The Secretary of State may, on the application of any insurer, alter the requirements of any regulations under this section so as to adapt those requirements to the circumstances of that insurer or to any particular kind of contract entered into or proposed to be entered into by that insurer.

(5) Regulations under this section may, to such extent as may be specified therein, apply in relation to contracts entered into before the coming into operation of the regulations, including contracts entered into before the passing of this Act.

(6) Regulations under this section shall not apply in relation to any contract the effecting of which by the insurer constitutes the carrying on of industrial assurance business or to any contract entered into by an insurance company to which Part II of this Act applies by reason only that the policy holder is eligible to participate in any established surplus as defined in section 30(4) above.

PART III

Scope of
Prevention of
Fraud
(Investments)
Acts.

1958 c. 45.

1940 c. 9

(N.I.).

Capital
redemption
business.

79. The agreements and arrangements mentioned in section 13(1) of the Prevention of Fraud (Investments) Act 1958 and section 12(1) of the Prevention of Fraud (Investments) Act (Northern Ireland) 1940 (misleading statements etc. inducing persons to invest money) and in the definition of "dealing in securities" in section 26(1) of that Act of 1958 and section 22(1) of that Act of 1940 shall not include contracts of insurance.

80. Where an insurance company to which Part II of this Act applies carries on capital redemption business in the case of which the premiums in return for which a contract is effected are payable at intervals of less than six months, the company shall not give the holder of any policy issued after 2nd December 1909 any advantage dependent on lot or chance.

This section shall not be construed as in any way prejudicing any question as to the application to any such transaction, whether in respect of a policy issued before, on or after that date, of the law relating to lotteries.

Penalties and
offences under
Part III.

81.—(1) Any person guilty of an offence under section 72, 73 or 74 above shall be liable—

(a) on conviction on indictment, to imprisonment for a term not exceeding two years or to a fine, or to both;

(b) on summary conviction—

(i) in England and Wales and Northern Ireland, to a fine not exceeding £1,000 or, if it is greater, the prescribed sum within the meaning of section 32 of the Magistrates' Courts Act 1980;

(ii) in Scotland, to a fine not exceeding £1,000 or, if it is greater, the prescribed sum within the meaning of section 289B of the Criminal Procedure (Scotland) Act 1975,

and for the purposes of the application of this subsection in Northern Ireland, the provisions of the Magistrates' Courts Act 1980 which relate to the sum mentioned in paragraph (b)(i) above shall extend to Northern Ireland.

(2) Any person who makes default in complying with, or with a requirement imposed under, any other provision of this Part of this Act shall be guilty of an offence and liable, on summary conviction in England and Wales and Scotland to a fine not exceeding level 5 on the standard scale and, on summary conviction in Northern Ireland to a fine not exceeding £400.

PART IV**SPECIAL CLASSES OF INSURERS**

Industrial
assurance
business.

82.—(1) In its application to industrial assurance business this Act shall have effect subject to the modifications specified in this section.

PART IV

(2) Where an insurance company carries on any industrial assurance business, the company shall deposit with the Industrial Assurance Commissioner and the Industrial Assurance Commissioner for Northern Ireland a copy of any document which relates to industrial assurance business and which is deposited with the Secretary of State under section 22(1), (2) and (6) above or which is supplied by the company to the Secretary of State under section 22(5) above.

(3) The provisions of sections 22 and 23(1) above shall have effect in relation to any document mentioned in subsection (2) above as if references in those provisions to the Secretary of State included references to the Commissioner and the Commissioner for Northern Ireland.

(4) Where any document required to be deposited by a company under subsection (4) of section 42 above relates to industrial assurance business the company shall also, within the time required under that subsection, deposit one copy of that document with the Commissioner and the Commissioner for Northern Ireland, and section 71(4) above shall have effect in relation to this subsection as it has effect in relation to that subsection.

(5) Where any business proposed to be transferred as mentioned in section 49 above is or includes industrial assurance business that section and section 50(4) above shall have effect as if references to the Secretary of State included references to the Commissioner and the Commissioner for Northern Ireland.

(6) Where any apportionment is made between the industrial assurance business and any other business carried on by the company in respect of management expenses, income from investments, gains or losses on the disposal of investments, appreciation or depreciation in the value of investments, or taxation, the auditor shall include in his report a special report as to the propriety or otherwise of the apportionment; and a copy of every report of the auditor shall be furnished to the Commissioner and the Commissioner for Northern Ireland.

(7) The provisions of this Act relating to industrial assurance business shall have effect notwithstanding anything in the memorandum or articles of association or rules or special Act of any insurance company carrying on such business; but nothing in this Act shall affect the liability of the industrial assurance fund or of the ordinary long-term insurance fund, in the case of a company established in Great Britain before 1st January 1924 or in Northern Ireland before 1st January 1925, to the prejudice of persons interested in contracts entered into by the company before that date.

PART IV
1923 c. 8.

(8) The Commissioner shall include in his annual report under section 44 of the Industrial Assurance Act 1923 a report on his proceedings under this Act, and that section shall have effect accordingly.

Requirements to be complied with by Lloyd's underwriters. **83.**—(1) The requirements referred to in section 15(4) above are as follows.

(2) Every underwriter shall, in accordance with the provisions of a trust deed approved by the Secretary of State, carry to a trust fund all premiums received by him or on his behalf in respect of any insurance business.

(3) Premiums received in respect of long term business shall in no case be carried to the same trust fund under this section as premiums received in respect of general business, but the trust deed may provide for carrying the premiums received in respect of all or any classes of long term business and all or any classes of general business either to a common fund or to any number of separate funds.

(4) The accounts of every underwriter shall be audited annually by an accountant approved by the Committee of Lloyd's and the auditor shall furnish a certificate in the prescribed form to the Committee and the Secretary of State.

(5) The said certificate shall in particular state whether in the opinion of the auditor the value of the assets available to meet the underwriter's liabilities in respect of insurance business is correctly shown in the accounts, and whether or not that value is sufficient to meet the liabilities calculated—

(a) in the case of liabilities in respect of long term business, by an actuary ; and

(b) in the case of other liabilities, by the auditor on a basis approved by the Secretary of State.

(6) Where any liabilities of an underwriter are calculated by an actuary under subsection (5) above, he shall furnish a certificate of the amount thereof to the Committee of Lloyd's and to the Secretary of State, and shall state in his certificate on what basis the calculation is made ; and a copy of his certificate shall be annexed to the auditor's certificate.

(7) The underwriter shall, when required by the Committee of Lloyd's, furnish to them such information as they may require for the purpose of preparing the statement of business which is to be deposited with the Secretary of State under section 86 below.

Lloyd's
underwriters
—financial
resources.

84.—(1) Subject to such modifications as may be prescribed and to any determination made by the Secretary of State in accordance with regulations, sections 32, 33 and 35 above

shall apply to the members of Lloyd's taken together as they apply to an insurance company to which Part II of this Act applies and whose head office is in the United Kingdom.

(2) The powers conferred on the Secretary of State by sections 38 to 41, 44 and 45 above shall be exercisable in relation to the members of Lloyd's if there is a breach of an obligation imposed by virtue of subsection (1) above.

85.—(1) Sections 49 to 52 above shall apply in relation to Lloyd's transfers to and from members of Lloyd's if, and only if, the conditions specified in subsection (2) below are satisfied. Lloyd's underwriters —transfer of business.

(2) The conditions referred to in subsection (1) above are—

- (a) that the transfer is not one where both the transferor and the transferee are members of Lloyd's;
- (b) that the Committee of Lloyd's have by resolution authorised one person to act in connection with the transfer for the members concerned as transferor or transferee;
- (c) that a copy of the resolution has been given to the Secretary of State.

(3) Where sections 49 and 50 or sections 51 and 52 above apply in relation to a transfer to or from members of Lloyd's they shall apply as if—

- (a) references to insurance companies to which Part II of this Act applies, or to persons authorised under section 3 or 4 of this Act, included references to members of Lloyd's; and
- (b) anything done in connection with the transfer by the person authorised in accordance with subsection (2)(b) above had been done by the members for whom he acted.

86.—(1) The Committee of Lloyd's shall deposit every year with the Secretary of State a statement in the prescribed form summarising the extent and character of the insurance business done by the members of Lloyd's in the twelve months to which the statement relates. Statement of business by Committee of Lloyd's.

(2) Regulations made for the purposes of this section may require the statement to deal separately with such classes or descriptions of business as may be specified in the regulations.

87.—(1) The provisions specified in subsection (2) below, if, apart from this section they would not so apply, shall apply in relation to an insurance company incorporated outside the United Kingdom which carries on insurance business within Great Britain or, as the case may be, Northern Ireland as they apply in Companies established outside the United Kingdom.

PART IV

relation to oversea companies within the meaning of section 406 of the Companies Act 1948 or, as the case may be, companies to which Part X of the Companies Act (Northern Ireland) 1960 applies.

(2) The provisions referred to in subsection (1) above are—

- 1948 c. 38. (a) sections 407, 409, 411 to 415 and 425(2) of the Companies Act 1948,
- 1976 c. 69. (b) sections 9 to 11 and 37 of the Companies Act 1976,
- 1960 c. 22 (N.I.). (c) sections 356, 358 to 364 and 373 of the Companies Act (Northern Ireland) 1960, and
- S.I. 1978/1042 (N.I. 12). (d) Articles 11 to 13 of the Companies (Northern Ireland) Order 1978.

Unregistered companies.

88.—(1) Every insurance company to which Part II of this Act applies, being a company which is not registered under the Companies Act 1948, under the Companies Act (Northern Ireland) 1960 or under the former Companies Acts—

- 1845 c. 16. (a) if it has not incorporated in its deed of settlement section 10 of the Companies Clauses Consolidation Act 1845, shall keep a shareholders address book in accordance with the provisions of that section and shall, on the application of any shareholder or policy holder of the company, furnish to him a copy of the book on payment of a sum not exceeding 2½p for every hundred words required to be copied;
- (b) shall cause a sufficient number of copies of its deed of settlement to be printed and shall, on the application of any shareholder or policy holder of the company, furnish to him one of those copies on payment of a sum not exceeding 5p.

(2) Any insurance company which makes default in complying with this section shall be guilty of an offence and liable, on summary conviction in England and Wales and Scotland to a fine not exceeding level 5 on the standard scale and, on summary conviction in Northern Ireland to a fine not exceeding £400.

Insurance companies formed before 1967 in contravention of section 434 of the Companies Act 1948.

89.—(1) Section 434 of the Companies Act 1948 (which in certain cases forbids the formation otherwise than under that Act of a company, association or partnership consisting of more than twenty persons) shall be deemed not to have invalidated the formation of any insurance company which immediately before 3rd November 1966 was carrying on in Great Britain insurance business of any class relevant for the purposes of Part I of the Insurance Companies Act 1974 and was carrying on business of that class on 25th July 1973.

(2) In subsection (1) above the reference to the said section 434 includes a reference to any corresponding enactment previously in force.

PART IV

PART V

SUPPLEMENTARY PROVISIONS

Valuation regulations

90.—(1) Regulations may be made with respect to the determination of the value of assets and the amount of liabilities in any case in which the value or amount is required by any provision of this Act to be determined in accordance with valuation regulations. Power to make valuation regulations.

(2) Without prejudice to the generality of subsection (1) above, regulations under this section may provide that, for any specified purpose, assets or liabilities of any specified class or description shall be left out of account or shall be taken into account only to a specified extent.

(3) Regulations under this section may make different provision in relation to different cases or circumstances and for the purposes of different enactments.

Criminal proceedings

91.—(1) Where an offence under this Act committed by a body corporate is proved to have been committed with the consent or connivance of, or to be attributable to any neglect on the part of, any director, chief executive, manager, secretary or other similar officer of the body corporate or any person who was purporting to act in any such capacity, he, as well as the body corporate, shall be guilty of that offence and liable to be proceeded against and punished accordingly. Criminal liability of directors.

(2) For the purposes of this section a person shall be deemed to be a director of a body corporate if he is a person in accordance with whose directions or instructions the directors of the body corporate or any of them act.

92.—(1) Proceedings for an offence alleged to have been committed under this Act by an unincorporated body shall be brought in the name of that body (and not in that of any of its members) and, for the purposes of any such proceedings, any rules of court relating to the service of documents shall have effect as if that body were a corporation. Criminal proceedings against unincorporated bodies.

(2) A fine imposed on an unincorporated body on its conviction of an offence under this Act shall be paid out of the funds of that body.

PART V

(3) In a case in which an unincorporated body is charged with an offence under this Act—

1925 c. 86.
1980 c. 43. (a) in England or Wales, section 33 of the Criminal Justice Act 1925 and Schedule 3 to the Magistrates' Courts Act 1980 (procedure on charge of offence against a corporation);

1945 c. 15
(N.I.).
S.I. 1981/1675
(N.I. 26). (b) in Northern Ireland, section 18 of the Criminal Justice Act (Northern Ireland) 1945 and Schedule 4 to the Magistrates' Courts (Northern Ireland) Order 1981 (procedure on charge of offence against a corporation)

shall have effect in like manner as they have effect in the case of a corporation so charged.

1975 c. 21. (4) In relation to any proceedings on indictment in Scotland for an offence alleged to have been committed under this Act by an unincorporated body, section 74 of the Criminal Procedure (Scotland) Act 1975 (proceedings on indictment against bodies corporate) shall have effect as if that body were a body corporate.

Restriction on institution of prosecutions. **93.** Proceedings in respect of an offence under this Act shall not be instituted—

(a) in England or Wales, except by or with the consent of the Secretary of State, the Industrial Assurance Commissioner or the Director of Public Prosecutions,

(b) in Northern Ireland, except by or with the consent of the Secretary of State, the Department of Commerce for Northern Ireland or the Director of Public Prosecutions for Northern Ireland.

Summary proceedings.

94.—(1) Summary proceedings for any offence under this Act may (without prejudice to any jurisdiction exercisable apart from this subsection) be taken against a body corporate at any place at which the body has a place of business, and against any other person at any place at which he is for the time being.

(2) Notwithstanding anything in section 127 of the Magistrates' Courts Act 1980, an information relating to an offence under this Act which is triable by a magistrates' court in England and Wales may be so tried if it is laid at any time within three years after the commission of the offence and within twelve months after the date on which evidence sufficient, in the opinion of the Director of Public Prosecutions, the Secretary of State or the Industrial Assurance Commissioner, as the case may be, to justify the proceedings comes to his knowledge.

(3) Summary proceedings in Scotland for an offence under this Act shall not be commenced after the expiration of three years from the commission of the offence.

(4) Subject to the limitation in subsection (3) above and notwithstanding anything in section 331 of the Criminal Procedure (Scotland) Act 1975, the proceedings referred to in that subsection may be commenced at any time within twelve months after the date on which evidence sufficient in the opinion of the Lord Advocate to justify the proceedings comes to his knowledge or, where such evidence was reported to him by the Secretary of State or the Industrial Assurance Commissioner, within twelve months after the date on which it came to the knowledge of the Secretary of State or Commissioner. PART V
1975 c. 21.

(5) Subsection (3) of section 331 of the said Act of 1975 shall apply for the purposes of subsections (3) and (4) above as it applies for the purposes of that section.

(6) Notwithstanding anything in Article 19(1) of the Magistrates' Courts (Northern Ireland) Order 1981, a complaint relating to an offence under this Act which is triable by a court of summary jurisdiction in Northern Ireland may be so tried if it is made at any time within three years after the commission of the offence and within twelve months after the date on which evidence sufficient, in the opinion of the Director of Public Prosecutions for Northern Ireland, the Secretary of State or the Department of Commerce for Northern Ireland, as the case may be, to justify the proceedings comes to his or that Department's knowledge. S.I. 1981/1675
(N.I. 26).

(7) For the purposes of this section a certificate of the Director of Public Prosecutions, the Lord Advocate, the Director of Public Prosecutions for Northern Ireland, the Secretary of State, the Department of Commerce for Northern Ireland or the Industrial Assurance Commissioner, as the case may be, as to the date on which such evidence as aforesaid came to his, or that Department's, knowledge shall be conclusive evidence.

Interpretation

95. For the purposes of this Act "insurance business" includes— Insurance
business.

- (a) the effecting and carrying out, by a person not carrying on a banking business, of contracts for fidelity bonds, performance bonds, administration bonds, bail bonds or customs bonds or similar contracts of guarantee, being contracts effected by way of business (and not merely incidentally to some other business carried on by the person effecting them) in return for the payment of one or more premiums ;
- (b) the effecting and carrying out of tontines ;
- (c) the effecting and carrying out, by a body (not being a body carrying on a banking business) that carries on business which is insurance business apart from this paragraph, of—

PART V

(i) capital redemption contracts ;

(ii) contracts to manage the investments of pension funds (other than funds solely for the benefit of its own officers or employees and their dependants or, in the case of a company, partly for the benefit of those persons and partly for the benefit of officers or employees and their dependants of its subsidiary or holding company or a subsidiary of its holding company) ;

(d) the effecting and carrying out of contracts to pay annuities on human life.

General
interpretation.

96.—(1) In this Act, unless the context otherwise requires—
“actuary” means an actuary possessing the prescribed qualifications ;

“annuities on human life” does not include superannuation allowances and annuities payable out of any fund applicable solely to the relief and maintenance of persons engaged or who have been engaged in any particular profession, trade or employment, or of the dependants of such persons ;

“body corporate” does not include a corporation sole or a Scottish firm but includes a body incorporated outside the United Kingdom ;

“chief executive” has the meaning given in section 7 above ;

“contract of insurance” includes any contract the effecting of which constitutes the carrying on of insurance business by virtue of section 95 above ;

“controller” has the meaning given in section 7 above ;

“court” means the High Court of Justice in England or, in the case of an insurance company registered or having its head office in Scotland, the Court of Session or, in the case of an insurance company registered or having its head office in Northern Ireland, the High Court of Justice in Northern Ireland ;

“deed of settlement”, in relation to an insurance company, includes any instrument constituting the company ;

“director” includes any person occupying the position of director by whatever name called ;

“enactment” includes an enactment of the Parliament of Northern Ireland and a Measure of the Northern Ireland Assembly ;

“financial year” means, subject to section 69 above, each period of twelve months at the end of which the

balance of the accounts of the insurance company is struck or, if no such balance is struck, the calendar year;

- “former Companies Acts” means the Companies Act 1929 or the Companies Act (Northern Ireland) 1932 and any enactment repealed by that Act of 1929 or, as the case may be, that Act of 1932 or by the Companies (Consolidation) Act 1908; 1929 c. 23.
1932 c. 7 (N.I.)
- “general business” has the meaning given in section 1 above; 1908 c. 69.
- “holding company” shall be construed in accordance with section 154 of the Companies Act 1948 or section 148 of the Companies Act (Northern Ireland) 1960; 1948 c. 38.
1960 c. 22 (N.I.).
- “industrial assurance business” has the meaning given in section 1(2) of the Industrial Assurance Act 1923 or Articles 2(2) and 3(1) of the Industrial Assurance (Northern Ireland) Order 1979; 1923 c. 8.
S.I. 1979/1574 (N.I. 13).
- “insolvent” means, in relation to an insurance company at any relevant date, that if proceedings had been taken for the winding up of the company the court could, in accordance with the provisions of sections 222 and 223 or section 399 of the Companies Act 1948 or, as the case may be, sections 210 and 211 or section 349 of the Companies Act (Northern Ireland) 1960, hold or have held that the company was at that date unable to pay its debts;
- “insurance company” means a person or body of persons (whether incorporated or not) carrying on insurance business;
- “life policy” means any instrument by which the payment of money is assured on death (except death by accident only) or the happening of any contingency dependent on human life, or any instrument evidencing a contract which is subject to payment of premiums for a term dependent on human life;
- “long term business” has the meaning given in section 1 above;
- “long term policy holder” means a policy holder in respect of a policy the effecting of which by the insurer constituted the carrying on of long term business;
- “main agent” has the meaning given in section 7 above;
- “manager”, except in section 56, has the meaning given in section 7 above;
- “margin of solvency”, “United Kingdom margin of solvency” and “Community margin of solvency” shall be construed in accordance with section 32 above;

PART V

1970 c. 35.

“mortgage”, in relation to Scotland, means a heritable security within the meaning of section 9(8) of the Conveyancing and Feudal Reform (Scotland) Act 1970 ;

“ordinary long-term insurance business” means long term business that is not industrial assurance business ;

“policy”—

(a) in relation to ordinary long-term insurance business and industrial assurance business, includes an instrument evidencing a contract to pay an annuity upon human life ;

(b) in relation to insurance business of any other class includes any policy under which there is for the time being an existing liability already accrued or under which a liability may accrue ; and

(c) in relation to capital redemption business, includes any policy, bond, certificate, receipt or other instrument evidencing the contract with the company ;

“policy holder” means the person who for the time being is the legal holder of the policy for securing the contract with the insurance company or, in relation to capital redemption business, means the person who for the time being is the legal holder of the policy, bond, certificate, receipt or other instrument evidencing the contract with the company, and—

(a) in relation to such ordinary long-term insurance business or industrial assurance business as consists in the granting of annuities upon human life, includes an annuitant ; and

(b) in relation to insurance business of any kind other than such as is mentioned in the foregoing paragraph or capital redemption business, includes a person to whom, under a policy, a sum is due or a periodic payment is payable ;

“prescribed” means prescribed by regulations under this Act ;

“registered society” means a society registered or deemed to be registered under the Industrial and Provident Societies Act 1965 or the Industrial and Provident Societies Act (Northern Ireland) 1969 ;

“registrar of companies” has the meaning given in section 455 of the Companies Act 1948 and “registrar of companies in Northern Ireland” means the registrar of companies within the meaning of section 399(1) of the Companies Act (Northern Ireland) 1960 ;

1965 c. 12.

1969 c. 24
(N.I.).

1948 c. 38.

1960 c. 22
(N.I.).

PART V

"subsidiary", except in section 57, shall be construed in accordance with section 154 of the Companies Act 1948 or section 148 of the Companies Act (Northern Ireland) 1960 :

"supervisory authority", in relation to a member State other than the United Kingdom, means the authority responsible in that State for supervising insurance companies ;

"underwriter" includes any person named in a policy or other contract of insurance as liable to pay or contribute towards the payment of the sum secured by the policy or contract ;

"valuation regulations" means regulations under section 90 above ;

"vessel" includes hovercraft.

(2) References in this Act to a fund or funds maintained in respect of long term business are references to a fund or funds maintained under section 28(1)(b) above and in sections 48(3) and 55(6) above include references to a fund or funds maintained under section 3(1) of the Insurance Companies Act 1958 or section 14(1) of the Insurance Companies Act (Northern Ireland) 1968. 1958 c. 72.
1968 c. 6
(N.I.).

(3) A person shall not be deemed to be within the meaning of any provision of this Act a person in accordance with whose directions or instructions the directors of a company or other body corporate or any of them are accustomed to act by reason only that the directors of the company or body act on advice given by him in a professional capacity.

(4) Any reference in this Act to an enactment of the Parliament of Northern Ireland or a Measure of the Northern Ireland Assembly shall include a reference to any enactment re-enacting it with or without modifications.

Supplementary

97.—(1) The Secretary of State may make regulations under this Act for any purpose for which regulations are authorised or required to be made thereunder. Regulations and orders.

(2) Regulations under this Act may make different provision for cases of different descriptions.

(3) Any power conferred by this Act to make regulations shall be exercisable by statutory instrument.

(4) Any statutory instrument containing regulations under this Act shall be subject to annulment in pursuance of a resolution of either House of Parliament.

PART V

Annual report
by Secretary
of State.

Savings,
transitionals,
consequential
amendments
and repeals.

Short title,
commence-
ment and
extent.

98. The Secretary of State shall cause a general annual report of matters within this Act to be laid before Parliament.

99.—(1) The saving and transitional provisions specified in Schedule 4 to this Act shall have effect.

(2) The enactments mentioned in Schedule 5 to this Act shall have effect subject to the amendments there specified, being amendments consequential on the provisions of this Act.

(3) The enactments mentioned in Schedule 6 to this Act are hereby repealed to the extent specified in the third column of that Schedule.

100.—(1) This Act may be cited as the Insurance Companies Act 1982.

(2) Subject to Schedule 4 to this Act, this Act shall come into force at the expiration of the period of three months beginning with the date on which it is passed.

(3) This Act extends to Northern Ireland.

SCHEDULES

SCHEDULE 1

Section 1.

CLASSES OF LONG TERM BUSINESS

Number	Description	Nature of business
I	Life and annuity.	Effecting and carrying out contracts of insurance on human life or contracts to pay annuities on human life, but excluding (in each case) contracts within Class III below.
II	Marriage and birth.	Effecting and carrying out contracts of insurance to provide a sum on marriage or on the birth of a child, being contracts expressed to be in effect for a period of more than one year.
III	Linked long term.	Effecting and carrying out contracts of insurance on human life or contracts to pay annuities on human life where the benefits are wholly or partly to be determined by reference to the value of, or the income from, property of any description (whether or not specified in the contracts) or by reference to fluctuations in, or in an index of, the value of property of any description (whether or not so specified).
IV	Permanent health.	Effecting and carrying out contracts of insurance providing specified benefits against risks of persons becoming incapacitated in consequence of sustaining injury as a result of an accident or of an accident of a specified class or of sickness or infirmity, being contracts that— (a) are expressed to be in effect for a period of not less than five years, or until the normal retirement age for the persons concerned, or without limit of time, and (b) either are not expressed to be terminable by the insurer, or are expressed to be so terminable only in special circumstances mentioned in the contract.
V	Tontines.	Effecting and carrying out tontines.
VI	Capital redemption.	Effecting and carrying out capital redemption contracts.

SCH. 1

Number	Description	Nature of business
VII	Pension fund management.	Effecting and carrying out— (a) contracts to manage the investments of pension funds, or (b) contracts of the kind mentioned in paragraph (a) above that are combined with contracts of insurance covering either conservation of capital or payment of a minimum interest.

Sections 1 and 3.

SCHEDULE 2

GENERAL BUSINESS

PART I

CLASSES

Number	Description	Nature of business
1	Accident.	Effecting and carrying out contracts of insurance providing fixed pecuniary benefits or benefits in the nature of indemnity (or a combination of both) against risks of the person insured or, in the case of a contract made by virtue of section 140, 140A or 140B of the Local Government Act 1972, a person for whose benefit the contract is made— (a) sustaining injury as the result of an accident or of an accident of a specified class, or (b) dying as the result of an accident or of an accident of a specified class, or (c) becoming incapacitated in consequence of disease or of disease of a specified class, inclusive of contracts relating to industrial injury and occupational disease but exclusive of contracts falling within class 2 below or within class IV in Schedule 1 to this Act (permanent health).
2	Sickness.	Effecting and carrying out contracts of insurance providing fixed pecuniary benefits or benefits in the nature of indemnity (or a combination of the two) against risks of loss to the persons insured attributable to sickness or infirmity, but exclusive of contracts falling within class IV in Schedule 1 to this Act.

SCH. 2

Number	Description	Nature of business
3	Land vehicles.	Effecting and carrying out contracts of insurance against loss of or damage to vehicles used on land, including motor vehicles but excluding railway rolling stock.
4	Railway rolling stock.	Effecting and carrying out contracts of insurance against loss of or damage to railway rolling stock.
5	Aircraft.	Effecting and carrying out contracts of insurance upon aircraft or upon the machinery, tackle, furniture or equipment of aircraft.
6	Ships.	Effecting and carrying out contracts of insurance upon vessels used on the sea or on inland water, or upon the machinery, tackle, furniture or equipment of such vessels.
7	Goods in transit.	Effecting and carrying out contracts of insurance against loss of or damage to merchandise, baggage and all other goods in transit, irrespective of the form of transport.
8	Fire and natural forces.	Effecting and carrying out contracts of insurance against loss of or damage to property (other than property to which classes 3 to 7 above relate) due to fire, explosion, storm, natural forces other than storm, nuclear energy or land subsidence.
9	Damage to property.	Effecting and carrying out contracts of insurance against loss of or damage to property (other than property to which classes 3 to 7 above relate) due to hail or frost or to any event (such as theft) other than those mentioned in class 8 above.
10	Motor vehicle liability.	Effecting and carrying out contracts of insurance against damage arising out of or in connection with the use of motor vehicles on land, including third-party risks and carrier's liability.
11	Aircraft liability.	Effecting and carrying out contracts of insurance against damage arising out of or in connection with the use of aircraft, including third-party risks and carrier's liability.
12	Liability for ships.	Effecting and carrying out contracts of insurance against damage arising out of or in connection with the use of vessels on the sea or on inland water, including third-party risks and carrier's liability.

SCH. 2

Number	Description	Nature of business
13	General liability.	Effecting and carrying out contracts of insurance against risks of the persons insured incurring liabilities to third parties, the risks in question not being risks to which class 10, 11 or 12 above relates.
14	Credit.	Effecting and carrying out contracts of insurance against risks of loss to the persons insured arising from the insolvency of debtors of theirs or from the failure (otherwise than through insolvency) of debtors of theirs to pay their debts when due.
15	Suretyship.	Effecting and carrying out— (a) contracts of insurance against risks of loss to the persons insured arising from their having to perform contracts of guarantee entered into by them; (b) contracts for fidelity bonds, performance bonds, administration bonds, bail bonds or customs bonds or similar contracts of guarantee.
16	Miscellaneous financial loss.	Effecting and carrying out contracts of insurance against any of the following risks, namely— (a) risks of loss to the persons insured attributable to interruptions of the carrying on of business carried on by them or to reduction of the scope of business so carried on; (b) risks of loss to the persons insured attributable to their incurring unforeseen expense; (c) risks neither falling within paragraph (a) or (b) above nor being of a kind such that the carrying on of the business of effecting and carrying out contracts of insurance against them constitutes the carrying on of insurance business of some other class.
17	Legal expenses.	Effecting and carrying out contracts of insurance against risks of loss to the persons insured attributable to their incurring legal expenses (including costs of litigation).

PART II

SCH. 2

GROUPS OF CLASSES

Number	Description	Composition
1 2	Accident and health. Motor.	Classes 1 and 2. Class 1 (to the extent that the relevant risks are risks of the person insured sustaining injury, or dying, as the result of travelling as a passenger) and classes 3, 7 and 10.
3	Marine and transport.	Class 1 (to the said extent) and classes 4, 6, 7 and 12.
4	Aviation.	Class 1 (to the said extent) and classes 5, 7 and 11.
5	Fire and other damage to property.	Classes 8 and 9.
6	Liability.	Classes 10, 11, 12 and 13.
7	Credit and suretyship.	Classes 14 and 15.
8	General.	All classes.

SCHEDULE 3

Section 7.

DETERMINATION OF PREMIUM LIMIT

1. Subject to the following provisions of this Schedule, the premium limit for the purposes of section 7(6) above is the aggregate of the amounts of gross premiums shown in the annual accounts relating to the business of the applicant in the United Kingdom last deposited under section 22 above as receivable in respect of general business in the financial year to which the accounts relate.

2. If the accounts so deposited relate to a financial year which is not a period of 12 months, the aggregate of the amounts of gross premiums shown in the accounts as receivable in that financial year shall be divided by the number of months in that financial year and multiplied by twelve.

3. If no accounts have been deposited under section 22 above the aggregate amount of gross premiums shall be the amount or, if more than one amount, the lower or lowest amount, shown in respect of gross premiums relating to the business of the applicant in the United Kingdom in the financial forecast last submitted by the applicant in accordance with regulations made for the purposes of section 5(1)(a) above.

Section 99(1).

SCHEDULE 4

SAVING AND TRANSITIONAL PROVISIONS

*Saving for requirements, directions and powers under the Companies Act 1967*1973 c. 58.
1967 c. 81.

1. The repeal by the Insurance Companies Amendment Act 1973 of sections 65, 68 and 80 and subsection (1)(f) of section 109 of the Companies Act 1967 shall not affect—

- (a) any requirement or direction imposed or given under any of those sections before 25th July 1973 ;
- (b) the giving of a direction under the said section 68 in any case in which a notice has been served under subsection (3) of that section before that date ; or
- (c) the exercise by an officer of any powers under the said section 109 in a case in which he has been authorised before that date to exercise them ;

and the said Act of 1967 shall have effect in relation to any such requirement, direction or powers as if the said Act of 1973, the Insurance Companies Act 1974 and this Act had not been passed.

Periodic actuarial investigations under section 18 above in relation to any period of twelve months beginning before 1st October 1982

2. In relation to any period of twelve months beginning before 1st October 1982, section 18 of this Act shall have effect as if—

- (a) for subsection (1)(a) there were substituted—

“(a) shall, once in every three years or at such shorter intervals as may be prescribed by the deed of settlement of the company or by its regulations or byelaws, cause an investigation to be made into its financial condition in respect of that business, including a valuation of its liabilities in respect thereof, by the person who for the time being is its actuary under section 19(1) below or any corresponding enactment previously in force ; and ” ;

- (b) subsection (2) were omitted.

Adjustments of established surplus for purposes of section 30(1) above

3. For the purposes of section 30(1) of this Act, where an established surplus corresponds partly but not wholly with a previously established surplus which was the latest to be established before 1st January 1982—

- (a) an adjustment shall be made to that previously established surplus so as to make it as nearly as may be comparable with the first-mentioned surplus, and
- (b) the relevant minimum shall be determined on the basis of that adjustment and an analogous adjustment of the allocation from that previously established surplus.

Margins of solvency

4. The requirements of sections 32 and 33 of this Act (or of regulations made for the purposes of those sections) shall not apply

until 15th March 1984 in relation to long term business if the company concerned—

SCH. 4

- (a) was carrying on long term business in the United Kingdom immediately before 1st January 1982, and
- (b) has not after that date obtained an authorisation under the Insurance Companies Act 1981 for a class of long term business for which on 1st January 1982 it was not authorised under that Act, and
- (c) does not after the commencement of this Act obtain an authorisation under this Act for a class of long term business for which on 1st January 1982 it was not authorised under the Insurance Companies Act 1981.

1981 c. 31.

5. So long as paragraph 4 above applies to a company and a class of long term business carried on by it, then, in relation to that company and that business, the grounds for withdrawal of authorisation set out in section 11(2) of this Act shall be deemed to include the grounds set out in section 28(1)(a) and (2) of the Insurance Companies Act 1974 as in force immediately before 1st January 1982.

1974 c. 49.

Postponement of coming into force of section 36 above

6. If no regulations under section 27 of the Insurance Companies Act 1974 have come into operation before the expiration of the period mentioned in section 100(2) above section 36 of this Act shall not take effect until the first regulations under the said section 27 or 36 come into operation.

Saving for schemes of operation submitted under Insurance Companies (Authorisation and Accounts: General Business) Regulations

7. For the purposes of section 37(2)(f) of this Act, a scheme of operations submitted pursuant to regulation 5 of the Insurance Companies (Authorisation and Accounts: General Business) Regulations 1978 shall be regarded as a proposal or forecast submitted in accordance with section 5 of this Act.

S.I. 1978/720.

Saving for requirements under section 29 of the Insurance Companies Act 1974

8. Where a requirement under section 29 of the Insurance Companies Act 1974 was in force immediately before 1st January 1982—

1974 c. 49.

- (a) that requirement shall continue in force,
- (b) any requirement imposed under sections 30 to 37 of that Act on the company concerned, if it was in force immediately before that day, shall continue in force, and
- (c) section 47(1) of this Act shall apply to any requirement that continues in force under sub-paragraph (a) or (b) above.

Postponement of effect of sections 37(3) and 38(3) above in respect of long term business

9. Until 15th March 1984, sections 37(3) and 38(3) of this Act shall not affect requirements imposed on companies before 1st January 1982 in respect of long term business.

SCH. 4

Deposits made with Accountant General before 1st January 1982

S.I. 1977/1553.

10. A deposit made under regulation 6 of the Insurance Companies (Solvency: General Business) Regulations 1977 shall, in so far as it remained with the Accountant General of the Supreme Court immediately before 1st January 1982, be regarded as having been made under section 9(1)(c) of this Act.

Continuation of business where contract made before 1st January 1982

11. Where—

- (a) as a result of the repeal of section 83(2)(b) of the Insurance Companies Act 1974 any particular kind of ordinary long-term insurance business has become general business, and
- (b) an insurance company was immediately before 1st January 1982 lawfully carrying on that particular kind of business in the United Kingdom,

then, notwithstanding the lack of an authorisation to carry on general business, the company may continue to carry out any contract of insurance relating to that particular kind of business if the contract was made before 1st January 1982.

Applications for approval of transfer made before 1st January 1982

S.I. 1980/956.

12. Where an application to the Secretary of State under the Insurance (Transfer of General Business) Regulations 1980 for approval of a transfer has been made before 1st January 1982 and not determined before the commencement of this Act, the application shall be determined in accordance with the law in force immediately before 1st January 1982.

Saving for section 42 of the Insurance Companies Act 1974

13. Section 42 of the Insurance Companies Act 1974 shall continue to have effect in relation to an application made to the court under that section before 1st January 1982 as if this Act and section 27 of the Insurance Companies Act 1981 had not been enacted and section 50 of this Act shall apply to an order made by virtue of this paragraph as if it were an order made under section 49 of this Act.

Postponement of effect of section 54(1)(c) of this Act in relation to unregistered companies

1976 c. 69.

1948 c. 38.

14. Until the coming into force of section 12 of the Companies Act 1976 in relation to unregistered companies to which section 147 of the Companies Act 1948 applies by virtue of section 435 of the said Act of 1948, section 54(1)(c) of this Act shall have effect in relation to such companies as if—

- (a) for the reference to section 12 of the Companies Act 1976 there were substituted a reference to section 147 of the Companies Act 1948 ;
- (b) for the reference to accounting records there were substituted a reference to proper books of account ;
- (c) for the reference to records there were substituted a reference to books.

Saving for winding up commenced before rules made under section 365 of the Companies Act 1948 or section 317 of the Companies Act (Northern Ireland) 1960

SCH. 4

15. The provisions of this Act, so far as re-enacting provisions of the Insurance Companies Act 1974 which repealed and re-enacted 1974 c. 49. provisions of the Insurance Companies Amendment Act 1973 relating to winding up, shall not affect any winding up commenced before 1973 c. 58. the date on which the first rules made under section 365 of the Companies Act 1948 or, as the case may be, section 317 of the Companies Act (Northern Ireland) 1960 by virtue of section 51(2) of 1960 c. 22 (N.I.). the said Act of 1974 or section 59(2) above come into operation.

Saving for repeal of section 17(2) and (3) of, and Schedules 3 and 4 to, the Insurance Companies Act 1958

16. If no rules under section 51(2) of the Insurance Companies Act 1974 have come into operation before the commencement of this Act the repeal of section 17(2) and (3) of, and Schedules 3 and 4 to, the Insurance Companies Act 1958 shall not take effect until the 1958 c. 72. first rules made under section 365 of the Companies Act 1948 or, as the case may be, section 317 of the Companies Act (Northern Ireland) 1960 by virtue of the said section 51(2) or section 59(2) above come into operation.

Northern Ireland

17. Section 17(2)(a) of the Interpretation Act 1978 shall not apply 1978 c. 30. to the reference to the Insurance Companies Act 1974 in paragraph 2 of Schedule 4 to the Insurance Companies Act 1980. 1980 c. 25.

18. Until Articles 3, 11, 13 and 25 of the Companies (Northern Ireland) Order 1978 come into operation the following provisions S.I. 1978/1042 (N.I. 12). of this Act shall have effect subject to the following modifications—

- (a) in section 54(2)(c) for the reference to Article 25 of that Order there shall be substituted a reference to sections 141 and 297 of the Companies Act (Northern Ireland) 1960 ; 1960 c. 22
- (b) in section 66 for the reference to Article 3 or 11 of that Order there shall be substituted a reference to section 122, 142 or 359 of that Act ; (N.I.).
- (c) in section 87(2)(d) for the reference to Articles 11 to 13 of that Order there shall be substituted a reference to sections 359 and 363 of that Act.

Continuing offences

19. Where an offence for the continuance of which a penalty was provided has been committed under any enactment repealed by this Act proceedings may be taken under this Act in respect of the continuance of the offence after the commencement of this Act in the like manner as if the offence had been committed under the corresponding provision of this Act.

Transitional provisions relating to sections 9(7), 71(3), 81(2) and 88(2) of this Act

20. Until the coming into force of paragraph (g) of subsection (2) of section 46 of the Administration of Justice Act 1982, the 1982 c. 53. reference in section 9(7) of this Act to section 38(7) of that Act shall be construed as a reference to section 7 of the Administration of Justice Act 1965. 1965 c. 2.

SCH. 4

1982 c. 48.

21. In relation to offences under this Act committed in England and Wales before the coming into force of section 38 of the Criminal Justice Act 1982 or in Scotland before the coming into force of section 54 of that Act the reference in each of the following provisions of this Act, namely—

- (a) section 71(3),
- (b) section 81(2) and
- (c) section 88(2)

to level 5 on the standard scale shall have effect as a reference to £400.

General

22. Subject to paragraph 17 above and without prejudice to any express amendment made by this Act, any enactment or other document whatsoever referring to any enactment repealed by this Act shall, unless the context otherwise requires, be construed as referring (or as including a reference) to the corresponding enactment in this Act.

1909 c. 49.

23. Without prejudice to paragraph 22 above, any enactment or document whatsoever referring to an assurance company within the meaning of the Assurance Companies Act 1909 shall be construed as referring (or as including a reference) to an insurance company to which Part II of this Act applies.

24. Where a period of time specified in any enactment repealed by this Act is current at the commencement of this Act, this Act has effect as if the corresponding provision of this Act had been in force when that period began to run.

Section 99(2).

SCHEDULE 5

CONSEQUENTIAL AMENDMENTS

The Companies Act 1948

1948 c. 38.

1. In the Companies Act 1948—

- (a) in section 433(6) for “1974” substitute “1982”;
- (b) in paragraph 24(1) of Schedule 8A for “1974” substitute “1982”.

1960 c. 22 (N.I.).

The Companies Act (Northern Ireland) 1960

2. In the Companies Act (Northern Ireland) 1960—

- (a) in section 381(6) for “1974” substitute “1982”;
- (b) in paragraph 24(1) of Schedule 6 for “1974” substitute “1982”.

1962 c. 37.

The Building Societies Act 1962

3. In the Building Societies Act 1962—

- (a) in section 129(1), in the definition of “policy of life assurance” for “1974” substitute “1982”;
- (b) in paragraphs 2, 7 and 9 of Schedule 3 for “1974” substitute “1982”.

The Housing Subsidies Act 1967

SCH. 5

4. In section 32(1) of the Housing Subsidies Act 1967 for "1974" 1967 c. 29.
substitute "1982".

The Building Societies Act (Northern Ireland) 1967

1967 c. 31 (N.I.).

5. In section 128(1) of the Building Societies Act (Northern
Ireland) 1967 for "1974" substitute "1982".

The Companies Act 1967

1967 c. 81.

6. In the Companies Act 1967—

(a) in section 89(1) for "1974" substitute "1982";

(b) in section 111(1)—

(i) for the words "section 36(2) to (4) of the Insurance
Companies Act 1974" there shall be substituted the 1974 c. 49.
words "section 44(2) to (4) of the Insurance Companies
Act 1982";

(ii) for the words from "1974" to "1981" substitute
"1982";

(c) in section 113(1) for "1974" substitute "1982";

(d) in section 116 for the words "section 36(2) to (4) of the
Insurance Companies Act 1974" there shall be substituted
the words "section 44(2) to (4) of the Insurance Companies
Act 1982".

The Children and Young Persons Act (Northern Ireland) 1968

1968 c. 34 (N.I.).

7. In section 7 of the Children and Young Persons Act (Northern
Ireland) 1968 for "1974" substitute "1982".

The Employers' Liability (Compulsory Insurance) Act 1969

1969 c. 57.

8. In section 1(3)(b) of the Employers' Liability (Compulsory
Insurance) Act 1969 for "1981" substitute "1982".

The Fire Services Act (Northern Ireland) 1969

1969 c. 13 (N.I.).

9. In section 24(3) of the Fire Services Act (Northern Ireland)
1969 for "1981" substitute "1982".

The Income and Corporation Taxes Act 1970

1970 c. 10.

10. In the Income and Corporation Taxes Act 1970—

(a) in section 19(2)(a)(ii) for the words "section 73 of the 1974 c. 49.
Insurance Companies Act 1974" there shall be substituted
the words "section 83 of the Insurance Companies Act
1982";

(b) in section 323(2) for "1974" (in both places) substitute
"1982".

*The Employer's Liability (Defective Equipment and Compulsory Insurance) (Northern Ireland) Order 1972*S.I. 1972/963
(N.I. 6).

11. In Article 5(3)(b) of the Employer's Liability (Defective
Equipment and Compulsory Insurance) (Northern Ireland) Order
1972 for "1981" substitute "1982".

SCH. 5

The Road Traffic Act 1972

1972 c. 20.

12. In section 145(2) of the Road Traffic Act 1972 for "1981" substitute "1982".

The Local Government Act 1972

1972 c. 70.

13. In the Local Government Act 1972—

- (a) in section 140(1) for "1981" substitute "1982";
- (b) in paragraph (a) of section 140C(1) for "1981" substitute "1982".

The Consumer Credit Act 1974

1974 c. 39.

14. In section 189(1) of the Consumer Credit Act 1974 in the definition of "insurance company" for the words from "section 33(1)" to "1968" there shall be substituted the words "section 96(1) of the Insurance Companies Act 1982".

1974 c. 47.

The Solicitors Act 1974

15. In section 87(1) of the Solicitors Act 1974—

- (a) in the definition of "authorised insurer" for "1974" substitute "1982";
- (b) in the definition of "liability insurance business" for "1981" substitute "1982";
- (c) in the definition of "pecuniary loss insurance business" for "1981" substitute "1982".

1975 c. 75.

The Policyholders Protection Act 1975

16. In the Policyholders Protection Act 1975—

- (a) in section 3(2) for "1981" substitute "1982";
- (b) in subsections (1) and (3) of section 28 for the words from "1974" to "1981" there shall be substituted "1982";
- (c) in section 29 for the words from "1974" to "1981" (in both places) there shall be substituted "1982";
- (d) in section 32(2)(a) for "1974" substitute "1982";
- (e) in paragraph 5(3) of Schedule 3 for the words "Sections 28(1)(b)(i) and 46(1)(b) of the Insurance Companies Act 1974" there shall be substituted the words "Sections 37(2)(b)(i) and 54(1)(b) of the Insurance Companies Act 1982";
- (f) in paragraph 5(4) of Schedule 3 for the words "Sections 79 to 82 of the Insurance Companies Act 1974" there shall be substituted the words "Sections 91 to 94 of the Insurance Companies Act 1982".

1974 c. 49.

The Finance Act 1976

1976 c. 40.

17. In paragraph 2A of Schedule 4 to the Finance Act 1976 in subparagraph (1) for "1981" substitute "1982".

The Insurance Brokers (Registration) Act 1977

1977 c. 46.

18. In section 29(1) of the Insurance Brokers (Registration) Act 1977 in the definition of "authorised insurers"—

- (a) for "1974" substitute "1982";

(b) for "1981" substitute "1982".

SCH. 5

The Companies (Northern Ireland) Order 1978

S.I. 1978/1042
(N.I. 12).

19. In the Companies (Northern Ireland) Order 1978—

- (a) in Article 108(1) for the words "section 36 of the Insurance Companies Act 1974" there shall be substituted the words "section 44 of the Insurance Companies Act 1982";
- (b) in Article 109(1) for the words "section 36 of the Insurance Companies Act 1974" there shall be substituted the words "section 44 of the Insurance Companies Act 1982"; and in sub-paragraphs (a) and (c) for "1974" substitute "1982";
- (c) in Article 110(1) for the words "section 36(1) of the Insurance Companies Act 1974" there shall be substituted the words "section 44(1) of the Insurance Companies Act 1982".

The Credit Unions Act 1979

1979 c. 34.

20. In section 15(2)(d) of the Credit Unions Act 1979 for "1974" substitute "1982".

The Banking Act 1979

1979 c. 37.

21. In paragraph 8 of Schedule 1 to the Banking Act 1979 for "1981" substitute "1982".

The Industrial Assurance (Northern Ireland) Order 1979

S.I. 1979/1574
(N.I. 13).

22. In the Industrial Assurance (Northern Ireland) Order 1979—

- (a) in Article 3(4) for the words "Acts 1974 and 1981" there shall be substituted the words "Act of 1982"; and the words "of 1981" (in each place) shall be omitted;
- (b) in Article 18(1) for "1974" substitute "1982";
- (c) in Article 32(1)(b) for "1974" substitute "1982";
- (d) in Article 40 for the words "Sections 42 and 43 of the Insurance Companies Act 1974" there shall be substituted the words "Sections 49 and 50 of the Insurance Companies Act 1982"; and for "72(6)" substitute "82(5)";
- (e) in Article 50(2) for "1974" substitute "1982";
- (f) in paragraph 1 of Schedule 5 for the words "section 85(1) of the Insurance Companies Act 1974" there shall be substituted the words "section 96(1) of the Insurance Companies Act 1982";
- (g) in paragraph 6 of Schedule 5 for "1974" substitute "1982".

The Companies Act 1980

1980 c. 22.

23. In section 42(3) of the Companies Act 1980 for the words "section 14 of the Insurance Companies Act 1974" there shall be substituted the words "section 18 of the Insurance Companies Act 1982"; and for the words "section 34" there shall be substituted the words "section 42".

SCH. 5

1980 c. 48.

The Finance Act 1980

24. In section 30 of the Finance Act 1980 for the words from "85(1)" to "1981" there shall be substituted the words "96(1) of the Insurance Companies Act 1982".

1981 c. 35.

The Finance Act 1981

25. In section 41(5) of the Finance Act 1981 for "1981" substitute "1982".

1981 c. 62.

The Companies Act 1981

26. In the Companies Act 1981—

(a) in section 5(5)(c) for "1974" substitute "1982";

(b) in paragraph 8 of Schedule 2 in the definition of "insurance company" for "1974" substitute "1982".

S.I. 1981/154
(N.I. 1).*The Road Traffic (Northern Ireland) Order 1981*

27. In Article 101(1) of the Road Traffic (Northern Ireland) Order 1981 for "1981" (in both places) substitute "1982".

1982 c. 39.

The Finance Act 1982

28. In the Finance Act 1982—

(a) in section 103(3)(b) for "1981" substitute "1982";

(b) in Schedule 7 in sub-paragraph (e) and in sub-paragraph (o) of paragraph 14(1), for "1981" substitute "1982".

Section 99(3).

SCHEDULE 6

REPEALS

Chapter	Short title	Extent of repeal
1974 c. 49.	The Insurance Companies Act 1974.	The whole Act, except sections 88(1)(6) and 90 and Schedule 1.
1975 c. 75.	The Policyholders Protection Act 1975.	Section 22(1).
1976 c. 69.	The Companies Act 1976.	In Schedule 2, the entries relating to sections 17(1) and 75(2) of the Insurance Companies Act 1974.
1980 c. 25.	The Insurance Companies Act 1980.	In section 1, paragraph (a) and, to the extent an Act therein mentioned is repealed by this Act, paragraph (b).
		Section 2.
		Schedule 1.
1980 c. 43.	The Magistrates' Courts Act 1980.	In Schedule 4, paragraph 18.
1981 c. 31.	The Insurance Companies Act 1981.	In Schedule 7, paragraph 133.
		The whole Act, except sections 36(1), 38 and Part II of Schedule 4.
1981 c. 62.	The Companies Act 1981.	In Schedule 3, paragraph 35.
S.I. 1981/1657 (c. 44).	The Insurance Companies Act 1981 (Commencement) Order 1981.	In the Schedule, paragraphs 2-9, 11, 12, 14 and 15.